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2022-2023 Annual Report



Council acknowledges the Wiradjuri people as the Traditional Owners of the land on which the Carrathool Shire Local Government Area is a part, and pays its respects to their Elders, past, present and emerging.



Viewing this Annual Report

A copy of this annual report and various other Council publications are available on Council's website www.carrathool.nsw.gov.au/about-council/publications.

Hard copies of this report are available for viewing in Council Offices and Library:

- Goolgowi Council Chambers – 9-11 Cobram Street, Goolgowi
- Hillston District Office – 139-145 High Street, Hillston
- WG Parker Memorial Library – 175 High Street, Hillston

Cover Image:
Picnic in Rankins Springs



Community Vision & Goals



Our vision for the future:

*A connected and thriving community
enjoying active and fulfilling lives while
protecting and appreciating our
environment and unique way of life.*

To achieve our vision, 5 goals were introduced in our 'Towards 2032' Community Strategic Plan:

**Goal 1
Thriving and
Liveable
Communities**

**Goal 2
Accessible
and Connected**

**Goal 3
Resilient and
Welcoming**

**Goal 4
Reliable and
Relevant
Services**

**Goal 5
Civic
Leadership and
Governance**

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The audited financial statements for the 2022/2023 reporting period are also included within this Annual Report.

The report is separated into three sections showing information relating to the region, the organisation and Councillors, as well as specific information required under legislation.

Section 1: Overview of Council including a message from the Mayor.

Section 2: Information regarding all Council departments, showcasing projects and achievements throughout the year.

Section 3: Additional information including legislative requirements not covered in the main body of the report.

Integrated planning and reporting (IP&R) describes the system of integrated business planning for local government in New South Wales (NSW). The IP&R process stems from the central assumption that all council planning should originate from a sound understanding of the community's expectations around priorities and service levels.

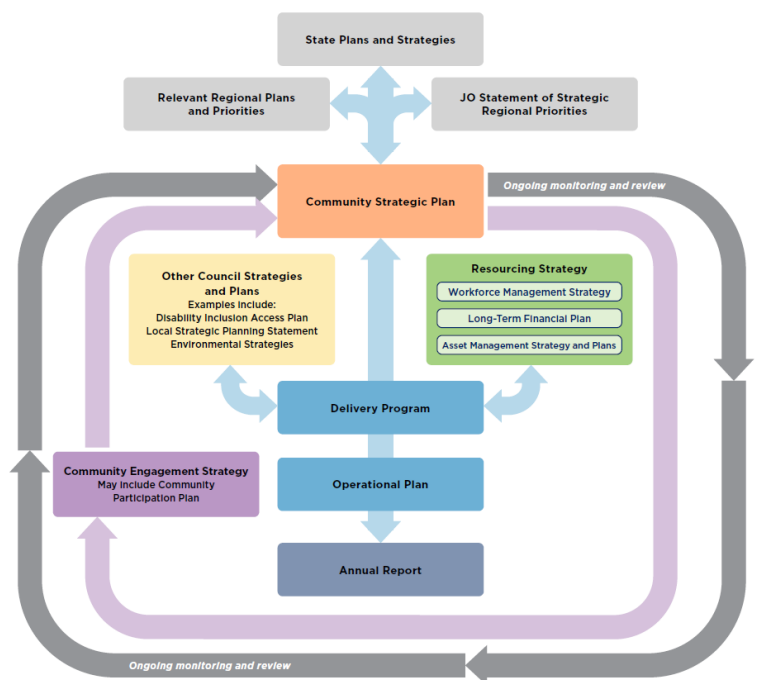
To support the Community Strategic Plan effectively, councils are required to develop a Resourcing Strategy which includes:

- a Workforce Plan
- an Asset Management Plan, and
- a Long-Term Financial Plan

All plans must integrate with other internal documents including the Local Environmental Plan and Local Strategic Management Plan.

This planning framework provides guidance for councils operating in an increasingly complex environment, with responsibilities under multiple pieces of legislation and direct relationships with over 20 NSW and Commonwealth Government agencies. Council must engage to a large degree with issues outside its area of immediate influence and responsibility and it is also required to ensure the Community Strategic Plan reflects the key objectives of the State Plan.

Sitting under the ten-year plan, Council is required to develop a Delivery Program which is supported by one-year Operational Plans. Combined, these plans will provide the detail of actions taken to implement the strategies and objectives outlined in the ten-year Community Plan.



Message from the Mayor



As Mayor I am pleased to present the 2022/2023 Annual Report to our community.

No doubt the main challenge confronting our community during the past twelve months was the flooding and storm events of late 2022. During this time there were several peaks in the Murrumbidgee River and the Lachlan was at peak levels for a considerable amount of time. Several outlying homes were lost, stock and infrastructure were heavily impacted. Hillston was cut off from the North as the Kidman Way was closed for several months.

Despite this devastating act of nature, the strength and character of our community never wavered. The local response of our people defines the strength, resilience and character of who we are.

I am proud to be part of a community that offers support and strength to each other in a time of need – thank you.

Despite the challenges confronting us during the year Council was able to successfully complete many projects and continue to provide service to the members of our shire, some of the achievements are listed below:

- Rezoning of Land and commencement of Hillston Subdivision
- Refurbishment of Goolgowi Park and Rest Stop
- Upgrading kerb and guttering in Hillston and Goolgowi
- Completion of Footpaths at Rankins Springs
- Drainage Works at Carrathool Village
- New Fencing at Hillston Cemetery
- Completion of New Change Rooms Goolgowi Oval.

We are an agriculturally based shire and the importance of our road network cannot be understated, it plays a vital role in getting produce to market and agricultural inputs to farms and supports most of the employment within the shire. The road network was substantially damaged by these storm and flood events during the latter part of 2022. Council has undertaken many emergency works on these roads to enable the economy to continue to function, and allow people to travel around the shire. It is waiting for Transport for NSW (TfNSW) approval to commence rehabilitation works on flood damaged roads to allow the roads to be repaired to pre-flood damage condition.

The youth of the shire is viewed as a priority and Council conducted several events during the year to engage with and involve our young people in a range of events and entertainment. Opportunities were also made available through funding for our local community organisations to be able to come together and hold functions to celebrate our region. Of note was the success of the inaugural Woorabinda Festival held on the shores of the Lake in Hillston. Following positive feedback from the community Council is hoping to make this an annual event.

Thank you to my fellow Councillors, staff and all members of the community whose efforts over the past year continue to make our shire a prosperous and safe place to live.



About Carrathool Shire Council

Located in the Riverina region of New South Wales, Carrathool Shire is about 570 kilometres North of Melbourne and 680 kilometres West of Sydney and covers an area of almost 19,000 square kilometres. Named after an aboriginal word meaning “native companion”, Carrathool Shire was home to the Wiradjuri people for more than 40,000 years.

Explorer John Oxley was selected to lead an expedition to map the course of the Lachlan River in 1817. John Oxley’s expedition passed near what is now Rankins Springs, followed the Lachlan Range north to near Lake Brewster, and then continued west to pass just to the north of what is now Hillston, before heading down river. Oxley reached the conclusion that the area was a marsh, barren, and uninhabitable. Less than 30 years later, pioneers had begun to settle on the land Oxley had passed through.

Carrathool Shire is a predominantly rural area, made up of the town of Hillston and the surrounding villages of Goolgowi, Merriwagga, Rankins Springs, and Carrathool with a population of 2,866 people (2021 census). The fertile soil, access to irrigation schemes and gentle topography creates opportunity for continued growth of the shires agri-business and supporting services. The land is used largely for agriculture and horticulture, particularly sheep and cattle grazing, poultry farming, grains including cereals, canola, rice and cotton growing. Citrus and other fruits, nuts, olives, and vegetables also contribute strongly to the local economy.

Carrathool Shire Council’s topography and climate are also favourable for alternate sources of energy production. Solar farms are increasing in prevalence throughout western NSW.

Carrathool Shire Council’s vision is a connected and thriving community enjoying active and fulfilling lives while protecting and appreciating our environment and unique way of life.



WHO WE ARE



2,866

Current
population
(2021 census)



37

Median Age

670

Families



1.9

Average children per family

2.5

Average people per household

Top Industries of Employment

**GRAIN
GROWING**

**GRAIN SHEEP
FARMING**

**GRAIN BEEF CATTLE
FARMING**



In August 2022 the Australian Bureau of Statistics released data showing Carrathool Shire LGA was the most productive in NSW for agricultural produce with \$1.045 billion for the 2020/2021 financial year.

Our Council

The people of Carrathool Shire are represented by 10 Councillors who are elected every four years. The Shire is divided into two wards with five Councillors elected from each. The Mayor and Deputy Mayor serve for a term of two years and are elected by the Councillors. At the Extra Ordinary meeting of Council held in January 2022 Cr Darryl Jardine was elected Mayor and Cr Bev Furner Deputy Mayor.

The last Local Government election was held in December 2021 - this election was supposed to take place in September 2020 but was postponed due to COVID-19. The next Local Government elections are due to take place in September 2024.

Carrathool Shire Councillors

2022 - 2024

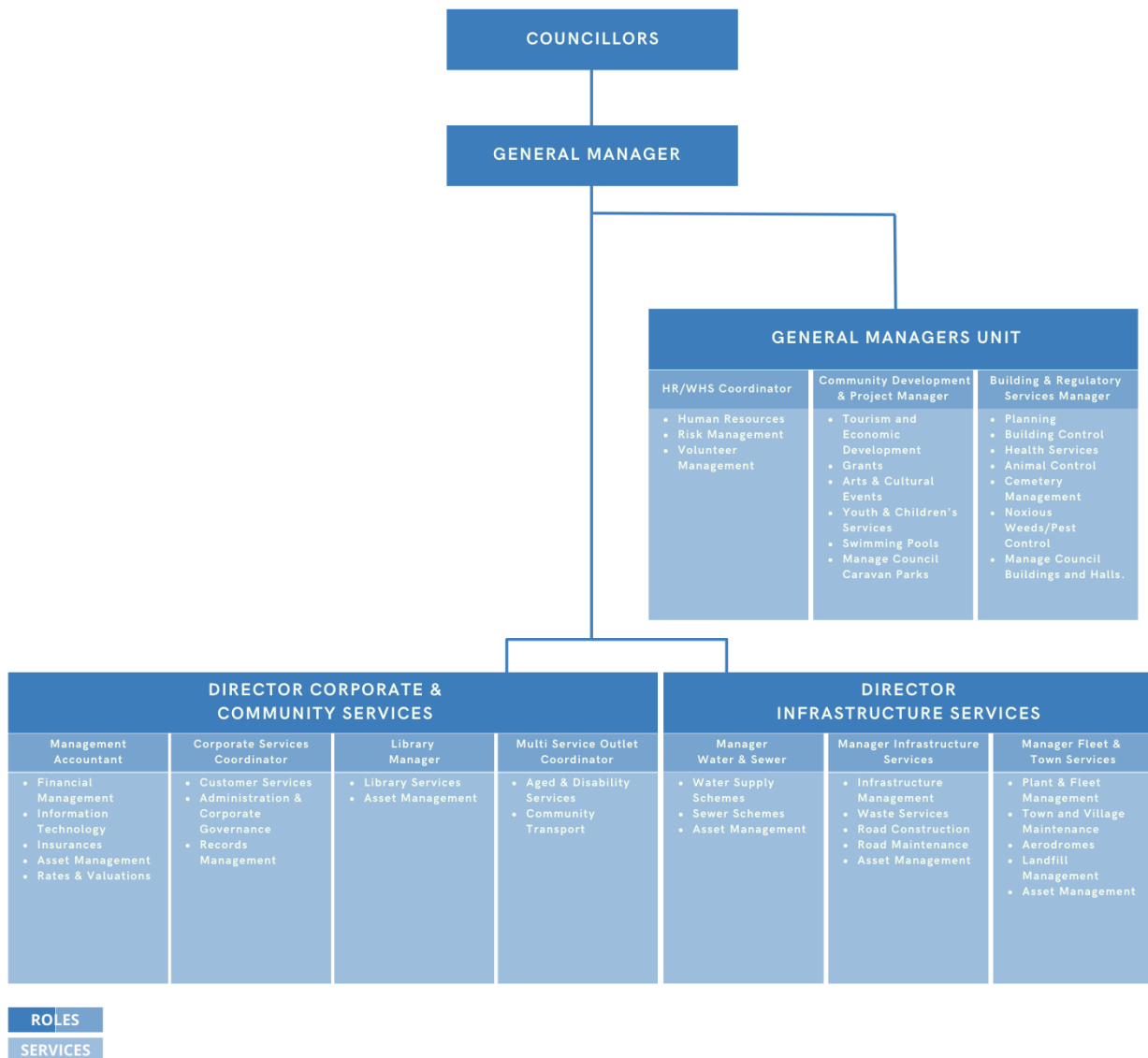


During 2022/2023 eleven ordinary council meetings were held. The agendas and minutes as well as links to the audio from these meetings is available on Council's website.

Council holds its Council meetings on the 3rd Tuesday of each month and in accordance with Council resolution one meeting each year is held in an urban centre other than the Goolgowi Council Chambers or the Hillston District Office. The August 2022 meeting of Council was held at the Carrathool Family Hotel, Carrathool.

Organisation Structure

During 2022/2023 the organisation was split into two directorates and a General Managers Unit, as shown below.





HR / Risk Highlights

Annual Reporting of Labour Statistics

Local Government (General) Regulation 2021 Clause 217(1)(d)

(as at Wednesday 23 November 2022)

The total number of persons employed by Council on Wednesday, 23 November 2022 was 101.

A total number of 77 persons performed paid work for Council on Wednesday, 23 November 2022 on the following basis:

Permanent full-time basis	60
Permanent part-time basis	8
Casual basis	7
Fixed-term contract	0
Senior staff (for the purposes of the <i>Local Government Act 1993</i>)	1
Labour hire	0
Apprentice or trainee	1
Total	77

A total of 24 employees were away from work on some form of leave or due to a work related injury.

Our People

Council had a staff complement of 91 permanent and permanent part time employees in total and 86.69 full time equivalent employees as at 30 June 2023.

Over half our staff are positioned at the operational level (57.68%) with management representing 10.38% of the FTE workforce.

In 2022/2023 the following human resources activities were undertaken:

- Ongoing implementation of an Human Resource Information System (HRIS);
- continued support for traineeships, apprenticeships, a graduate program and skills acquisition across the organisation in professional, technical, administrative and operational areas
- continued support for Work Experience Students and Work Placement programs;
- Ongoing recruitment and onboarding for new and vacant positions;
- implementation and revision of policies and procedures relevant to human resources.

Recruitment & Retention

During 2022/2023, Council's staff turnover was 21.92%. Exit questionnaires were completed by most staff. Reasons for staff turnover included, but were not limited to retirement, taking positions within the private sector and personal reasons.

Council actively recruited 28 employees to fill the vacant positions identified within the organisational structure, newly created positions within the realigned structure and additional positions outside the structure on a casual basis.

Attraction and retention of skilled positions continues to be a key focus in Council's Workforce Strategy.

The Consultative Committee had four ordinary meetings during the reporting period and covered many topics including:

- Capability Framework implementation
- corporate training plan
- recruitment
- policy and procedure development
- scheduled learning and development and health surveillance "CS:Connect"
- Award renegotiations
- committee member elections including designated positions.

The Consultative Committee acts as the EEO Committee as part of its ongoing commitment to Council's EEO program. The aim of the EEO Committee is to work with all employees towards a discrimination and harassment free workplace. EEO matters reviewed included:

- Review the EEO Management Plan 2018-2023;
- Reporting on EEO statistics across EEO groups such as Aboriginal/Torres Strait Islander, non-English speaking background (NESB) staff, staff with a physical or intellectual disability and women.
- Revision of the process for access to higher grade duty opportunities for staff based on merit, along with access to training and staff development programs with a view to identify any discriminatory practices.

Training & Development

Council is committed to providing its employees with quality leadership, job satisfaction and effective training and development within a safe and healthy work environment with equity and fairness.

Council's Corporate Training Plan considers all obligations and ensures that objectives can be effectively met, subject to overall budgeting constraints.

Council's corporate learning program supports a broad range of staff development needs. This is developed in alignment with strategic priorities, as well as in response to needs identified through staff performance and development plans. A variety of learning methodologies are used, including e-learning, facilitated workshops, and mentoring and coaching.

During 2022/2023, Council offered a range of mandatory training and professional development opportunities to staff:

First Aid & CPR
Cert III Water Operations
IPWEA Supervisor Training
Responding & Adapting to Change & Uncertainty
Confined Spaces Training Initial & Refresher
Cert III Civil Construction
Chemcert Initial & Reaccreditation
Cert IV Business Administration
Work Safely in the Vicinity of Live Electrical Apparatus
First Aid Reaccreditation
Lifeguard Refresher
Traffic Control Training
Recover at Work Coordinator Training

Council held its annual 'CS:Connect' (formerly 'Carrathool Kick Start') – a health, wellbeing, and training day in May 2023. The day was designed to facilitate mandatory training in an interactive manner along with providing an opportunity for staff to participate in health and wellbeing screening activities.

Staff Health & Wellbeing

Council continues to offer health screening initiatives and wellbeing programs for staff when funding allows. Council provided audiometric screening, flu shots for staff, relevant immunisations as relevant to positions, access to quit smoking advice, drug and alcohol information and mental health initiatives this year.

Work Health & Safety

Council endeavours to promote a safety-oriented culture and develop WHS and Risk Management best practices within its workforce. Council has continued to utilise the online safety system, Vault / Damstra for incident reporting, contractor management, as an event (incident) register, for inspections and as a training register.

Council's WHS Committee meet on a quarterly basis and is comprised of representatives from each work group, an elected union representative and a management representative.

The WHS Committee carried out quarterly safety inspections of the following Council work sites:

Goolgowi Council Chambers
Goolgowi Depot Yard, Stores and Workshop
Goolgowi Swimming Pool
Hillston Caravan Park

Hillston Depot and Yard
Hillston District Office
Hillston Sewerage Treatment Works
Hillston Swimming Pool
WG Parker Memorial Library

Reducing Councils Risk Exposure

Risk Management is important to Carrathool Shire Council's ability to achieve the Strategic Objectives outlined in the Community Strategic Plan.

By fostering a vibrant Risk Management culture that encourages all staff to systematically apply the principles and procedures outlined in the Risk Management Plan, Council seeks to minimise resource waste and ensure that all Council objectives, activities and projects are undertaken with minimal risk.

Initiatives to reduce Council's risk exposure continued to be implemented in 2022/2023 including:

- revision of Council's Risk Management Plan, and Risk Appetite Framework
- revision of Council's risk register in collaboration with staff,
- analysis and controls of insurable risks.

Council's public liability insurer, Statewide Mutual introduced the Continuous Improvement Pathway (CIP) in 2012 and CIP Workbooks in 2017/2018. The CIP focuses on the continuous improvement of Council's risk management systems and is built around the principles of participation, benchmarking, engagement and improvement.

Areas considered by Carrathool Shire Council in 2022/2023 included Signs as Remote Supervision, Roads, and Waste Management (fire).





Community Development Highlights

Lake Woorabinda Festival

The inaugural Lake Woorabinda Festival was held on 11 March 2023 thanks to the NSW Government Reconnecting Rural NSW Community Event Fund and Regional Arts Australia. The very successful event featured The Baker Boys performing live on stage, children's entertainer Dr Nincompoop who came all the way from Melbourne to entertain our kids. Local artisans showcased their works at the markets and the community decorated box lanterns which were floated onto the Lake at dusk, providing a spectacular sight. The day culminated in a wonderful firework display over the lake.

School Holiday Fun

The NSW Government's Holiday Break Program aimed at youth from 12 years to 24 years provided entertainment throughout the year. Events held included Virtual reality games, cupcake decorating, Bounce! day featuring inflatables and games, trivia nights and movie nights.

Pool Parties

Council once again celebrated the arrival of summer with pool parties in Hillston and Goolgowi. This marks the fourth year these pool parties have been held and once again they were a great success with over 250 people through the gates over both dates.

Australia Day

The 2023 Australia Day celebrations were hosted by the Goolgowi community at the Goolgowi Pool, in the form of a 'Pool Party' including water slide and free ice cream. A delicious lunch was supplied by the Goolgowi Parents & Citizens Association while the kids enjoyed the pool. The event was attended by over 100 people who celebrated the achievements of all individuals and community groups nominated.

The 2023 Australia Day Ambassador for Carrathool Shire was Warren Potent, an Olympic medallist and World Champion medallist in the Men's 50m Rifle Prone section. Warren has competed in 5 Olympic Games, medalling at the 2008 games, and 5 ISSF World Championships medalling in 1986, 2006 and 2014. Warren is Australia's most successful rifle shooter ever and was named Australian Shooter of Year three years in a row. The 2022 Citizen of the Year was Nick Smith, member of the Hillston SES, who dedicated himself to the community during the flood events of late 2022 and early 2023. The Junior citizen of the Year went to Rankins Springs SRC who raised money for the Starlight Children's Foundation throughout the year.

The community were also able to celebrate into the evening with “Gowi Groove on the Grass”, thanks to funding from the National Australia Day Council. Featuring the Canberra Capital Band and BBQ supplied by the Goolgowi Rugby League Football Club it was a wonderful way to continue the celebration.

Australia Day Ceremonies provide us with an opportunity to reflect, respect and celebrate while recognising the contribution made to the community by many of our residents on a voluntary basis and it is always particularly heartening to see our young people give of themselves in this way.

Youth Week 2023

Youth Week 2023 was celebrated in April with a series of workshops including basic motor bike maintenance, dumpling workshops and resin/clay jewellery making. These events are funded through the NSW Government’s Advocate for Children and Young People.

Tourism

Carrathool Shire continues to welcome travellers with their caravans to the Shire, an increase in travellers can be attributed to the events of the previous years. The major routes for this travelling sector are the Kidman Way and the Midwestern Highway, both which cross through our Shire. Council-operated caravan parks provide overnight opportunities which is an important part of our visitor economy.

Council continues to promote our shire by participation in the Kidman Way Promotional Committee, attending the Melbourne Caravan & Camping Supershow in Flemington, the Sydney Caravan Show at Rosehill and the Canberra Caravan Show as part of the Riverina tourism group during the year.

Reconnecting Regional NSW – Community Events Program

In 2022/2023 Council was successful in gaining funding to hold community events throughout the year. In total 14 community events were held with Council organised events totalling 7. These events included a family fun day in Carrathool, country music nights in Hillston and Goolgowi, a summer movie night series, pool parties, Australia Day Celebrations and the inaugural Lake Woorabinda Festival. The community celebrated throughout the year and enjoyed the various events.

Community Grants

Council continues to support the community through the Community Grants Program, over \$19,000 was awarded to varying community groups for projects which enhance our community and improve facilities for all to enjoy. Successful projects included community hall upgrades, local School projects and sporting equipment.





Lake Woorabinda Festival, Lantern Making – March 2023

Grant Funding 2022/2023

Council received the following grant funding to support projects across the Carrathool Shire LGA during 2022/2023. All of these projects contribute to the well-being and liveability of our community. Funding received during the 2022/2023 financial year is listed below. Some projects may be funded over two or more financial years.

Financial Assistance Grant (FAG) – General Component	\$6,182,737
FAG – Local Roads	\$3,674,508
Australia Day Grant	\$17,383
NSW Partnerships Grant	\$90,000
Stronger Country Communities Fund – Various Projects	\$831,409
Federal Government Road to Recovery Program	\$1,459,649
RMS State Roads	\$962,899
RMS Block Grants (Regional Roads)	\$1,845,645
Roads - Flood & Storm Damage	\$1,000,000
Fixing Local Roads Potholes Program	\$896,464
Fixing Local Roads 3 – Carrathool Road	\$640,491
Fixing Local Roads 4 – Various Roads	\$166,850
Noxious Weeds Program	\$42,336
Alligator Weed Grant	\$25,000
Local Roads & Community Infrastructure Programs – Various Projects	\$2,247,538
OLG Recovery Grant	\$1,000,000
Regional & Local Roads Repair Program	\$4,759,720
Hillston Floodplain Study	\$9,069
Government Pensioner Rates Subsidy Program	\$31,326
Regional Arts Fund Grant	\$15,000
Places to Play Grant – Goolgowi Pump Track	\$102,546
Youth Grants	\$27,713
RR NSW – Community Events 2022/2023	\$96,051
Street Lighting	\$26,000
Library Grants	\$67,416
Community Care	\$688,895
IWCM Strategy – Hillston Water	\$146,494
	\$27,053,139



Corporate & Community Services Highlights

Financial Results

Council reported an operating surplus before capital grants and contributions of \$8.876 million for the year ended 30 June 2023 (2022 – surplus of \$7.642 million).

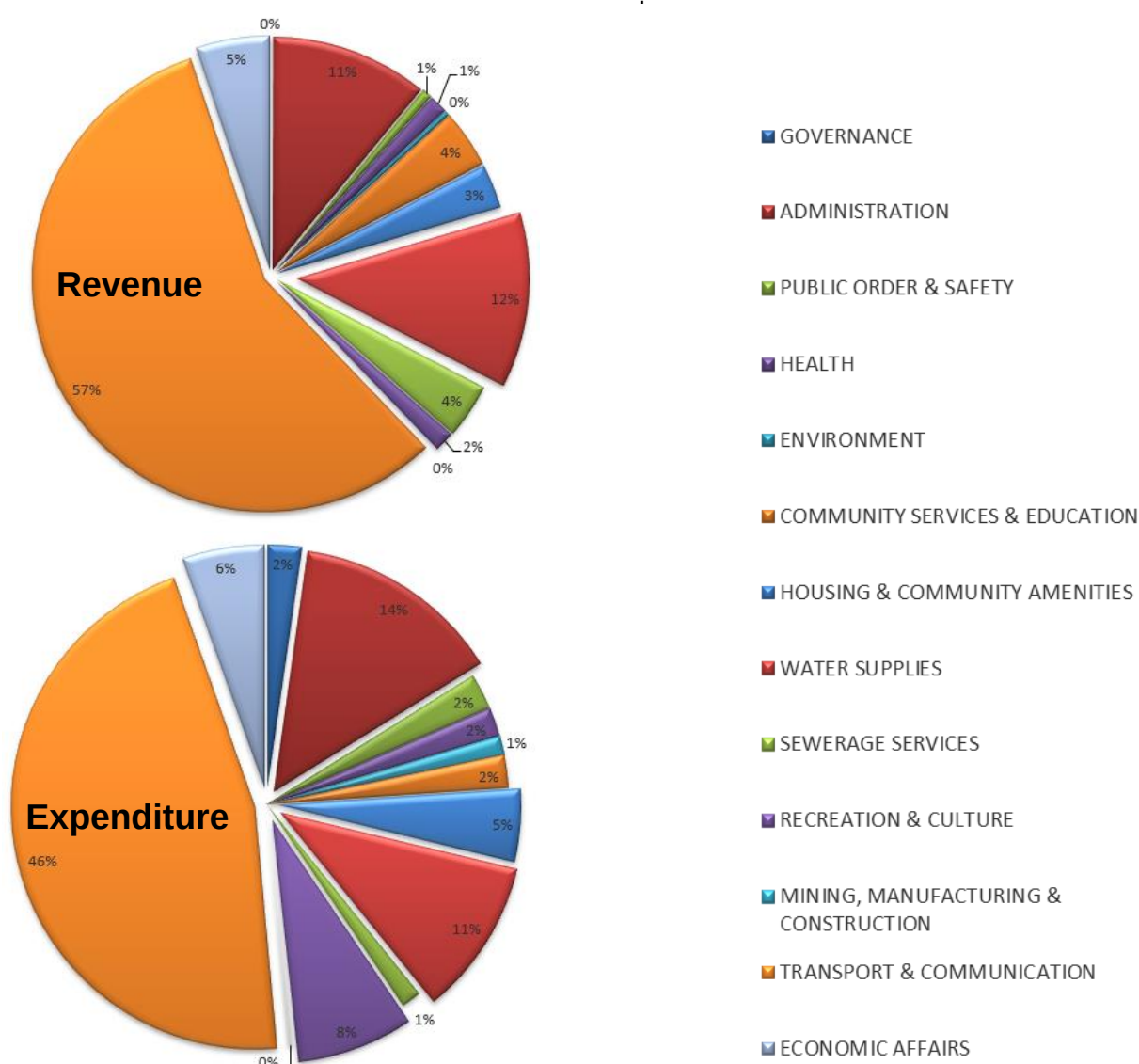
Excluding capital grants and contributions, operating revenues for the year were \$33.19 million an increase of 5.9% on the previous years figure of \$31.34 million, whilst during the same period operating expenses were \$24.317 million, including depreciation expenses of \$6.54 million, an increase of approximately 2.6%.

A breakdown of Council's operating revenues and expenses by function for the year is as follows:

In addition to operating revenues, Council received capital grants and contributions amounting to \$3.589 million (2022 - \$8.046 million).

In the twelve month period to 30 June 2023 Council's operating result from continuing operations (including capital grants and contributions) was a surplus of \$12.465 million compared with a surplus of \$15.688 million in the previous year.

For further financial information including the Audit Report please refer to the Financial Statements attached to this report.



Aged & Disability Services

The Multi Service Outlet (MSO) provides our eligible Shire residents with a range of services and support to help them continue living independently in their homes and maintain connections with their community.

The services we provide are made possible by various state and federal grants and funding, and include:

Commonwealth Home Support Programme (CHSP):

The entry-level support service for older community members. We partner with our clients to help them maintain their independence and improve their health and wellbeing. Under this program we provide a range of services such as home maintenance, home modifications, meals, social support, domestic assistance, respite, and community transport.

Home Care Packages (HCP):

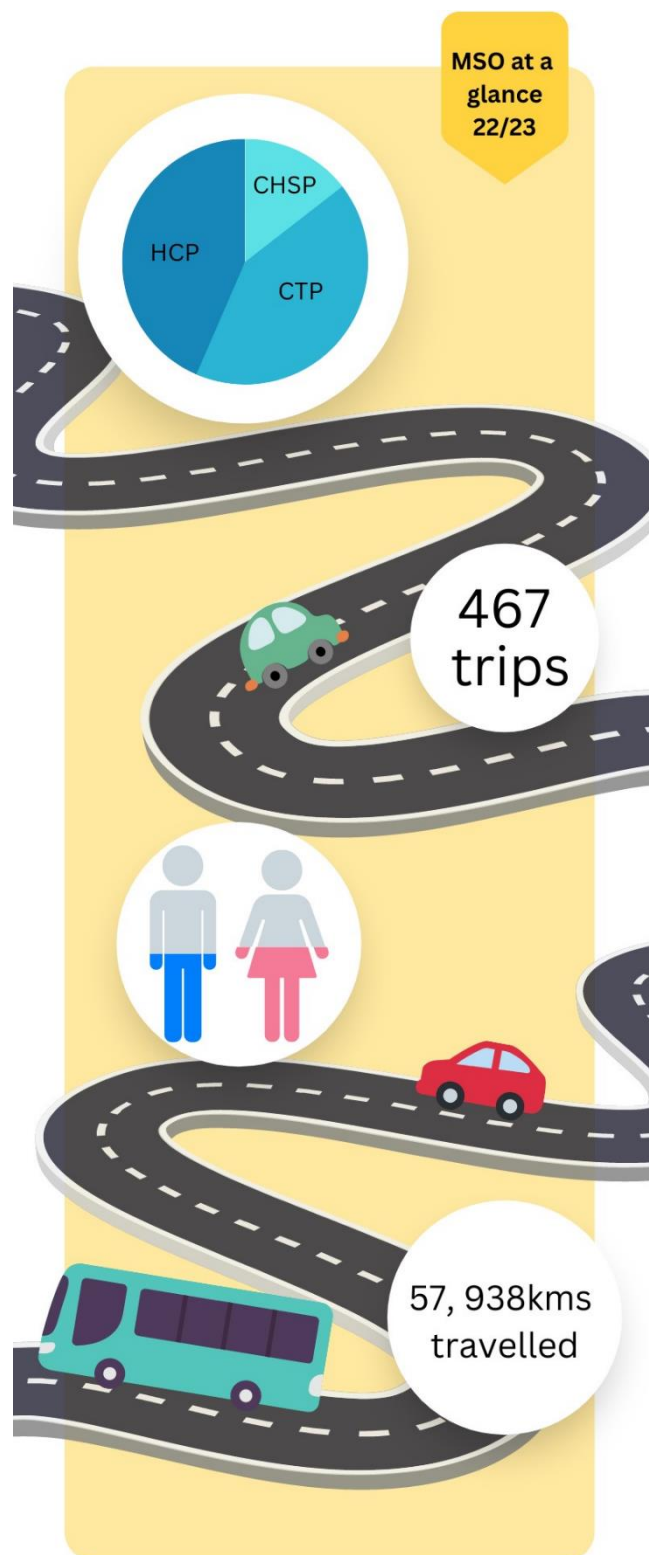
We are an approved provider for HCP, which are funding packages designed to assist older people with more complex needs. The services we provide are based on each client's care needs and care plan, and have a strong focus on wellness, independence, safety and social connectivity.

Community Transport Program (CTP):

Our CTP provides transport services for those that have no or limited access to public transport due to their location, financial resources or physical or cognitive capabilities.

This service is available to all residents, and is used to assist with maintaining social inclusion, accessing goods and services for daily living, and providing a connection to other public transport.

During 2022/2023 we facilitated a monthly shopping bus to assist residents to gain access to the services that are unavailable in our own shire. This has proved popular within the community and will be an ongoing fixture of our service.



Respite & Days Out proved popular with our clients once again with respite sessions running weekly on a Wednesday in Goolgowi. Transport is available to the Goolgowi respite from Hillston and Merriwagga.

Our clients also enjoyed various outings throughout the year, including:

- Kapooka Army Band, Griffith Regional Theatre
- MSO Christmas Party
- Carrathool Pub Lunch
- Dinner & Live Music, Goolgowi



Library Services

Carrathool Shire W.G. Parker Memorial Library is a multipurpose facility that provides services that reflects both the needs and demands of the local community. The library brings people together to participate and enjoy a range of library services and events. The Library is recognised as a safe place where everyone is welcomed.

Library Funding

Projects undertaken this year funded by the Local Special Projects Funding included:

- Digitising historical hospital records
- Author Visit for Book Week 2023
- Collections – Large Print
- Purchase of Nintendo Switch and games
- New chairs, tables and magazine stand

Book Week 2022

Book Week 2022 was celebrated with the Annual Book Week Competition. The theme was “Dreaming with eyes open” and the competition comprised of class entries and the Margaret Merrylees writing competition.

Winners were: Lower Primary: First - Hugo Bunn Highly Commended - Annalee Harris Middle Primary: First - Harper Dickinson Highly Commended - Tyler Young Upper Primary: First - Lexie Young Highly Commended - Mason Clemson

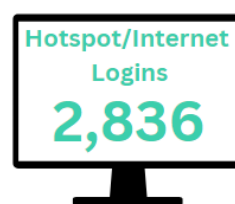
Seniors Festival

Carrathool Shire Library staff organised a luncheon at the Hillston Exies Club and Andrew Cottrell from the NBN presented a talk on digital services and the internet with a particular focus on scams.

Story Hour

Our story hour sessions once again proved popular over the year and are held every Tuesday from 11am.

Story Hour sessions include stories, songs, games and crafts and are designed to introduce young children to the wonderful world of books and libraries.



IT & Internet Enquiries

Aiding the public with very involved IT and internet enquires has continued to be a growing demand. Customers are requesting that library staff spend considerable periods of time with them to assist with setting up new phones, assistance with filling out online forms including data input and setting up MyGov and other accounts with service providers both government and commercial.

Mobile Library

During 2022/2023 we received our new mobile library van. Our first turn of using the van was the 27 February 2023. The van has been really well received with the smaller children most intrigued with the “Magic Steps”, which are in fact the hydraulic steps to the van.





Story Hour Crafts - January 2023



Major Capital Works

Lachlan River Road - Pave & Seal

2022/2023 saw the completion of the Lachlan River Road Upgrade. The final stage of the project saw the remaining 5.6km of gravel road receive a gravel overlay and seal.

This project was identified and completed to significantly improve the safety of the road for all road users. The works included a 7m (2-coat) seal width on a 9m gravel formation.

At a total project cost of \$1.3m the project was funded by the Local Roads and Community Infrastructure Program.



Lachlan River Road – Before



Lachlan River Road - After

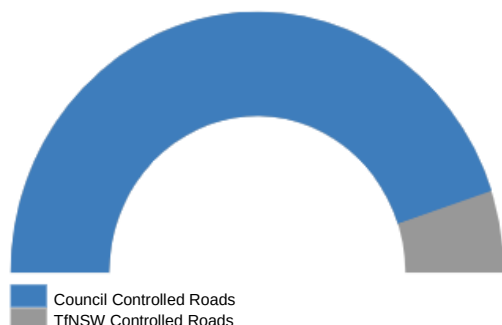
Infrastructure Services Highlights

Public Works

Council owns, operates and maintains many public works facilities including the following:

- Roads
- Bridges, culverts and stormwater drains
- Footpaths, kerb and gutters and street trees
- Buildings and public amenities
- Aerodromes
- Flood mitigation levees
- Reserves, parks and gardens
- Water treatment works & reticulation systems
- Sewer treatment works & reticulation systems
- Caravan parks
- Cemeteries
- Swimming pools
- Garbage disposal sites.

The report on Infrastructure Assets which forms part of Council's Annual Financial Statements provides information about the condition of Council assets. The estimated cost to bring Council's assets to a satisfactory standard is \$542,000. In 2022/2023 the required annual spend for the maintenance of Council assets is \$6.112 million. The 2022/2023 actual spend on the maintenance of Council assets was \$6.643 million.



Roads

Carrathool Shire's geographic area of 19,000 square kilometres includes a total road length of 2,963.79 km; of this 2,594.38 km is controlled by Council with the remaining (State Highways) under the control of Transport for NSW (TfNSW).

Council is responsible for the maintenance of urban, local and regional roads and manages the maintenance activities for the Kidman Way and Burley Griffin Way on behalf of TfNSW.

Council Roads	Length Km
Sealed	557.04
Unsealed	2,037.34
Total	2,594.38

TfNSW State Highways	Length Km
Kidman Way (MR80 & MR410S)	148
Burley Griffin Way (MR84S)	9
Mid Western Highway (SH6)	123*
Cobb Highway (SH21)	24*
Total	303

*Not part of TfNSW Road Maintenance Council Contract. TfNSW Maintenance Contract expired 30 June 2023 and was not renewed.

During 2022/2023 the following road works were undertaken:

Roads 2 Recovery Program (R2R) Road Resealing

Road Name	Cost
Lachlan Valley Way	\$270,024
Rankins Springs Road	\$256,197
Black Stump Road	\$133,527
Lachlan River Road	\$2,308
Murrumbidgee River Road	\$270,329
Wollarra Road	\$12,414
Henry Street	\$15,392
Charles Street	\$15,392
Federation Street	\$5,005

Devon Street	\$6,530
Mons Street	\$17,874
Kiwi Street	\$29,707
Bales Avenue	\$13,491
Whitton Stock Route	\$8,883
Lowan Street	\$18,716
Zara Street	\$15,084
Bunyip Street	\$6,548

Culvert/Gravel Resheet

Johnstons Road	\$29,045
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Gravel Resheet

Boorga Road	\$146,014
Back Hillston Road	\$22,340
Weavers Road	\$26,769
Mitchells Road	\$70,000
Total	\$1,391,589

TfNSW Block Grant – Capital Works

Road Name & Works Completed	Cost
Mossgiel MR80 – Construct and Seal 2km	\$500,000
MR368 - Pave & Seal 2.2km & Culvert Installations. Line Marking 7.7km	\$267,000
Total	\$767,000

TfNSW Repair Program – Capital Works

Road Name & Works Completed	Cost
MR368 - Pave & Seal 2.2km & Culvert Installations. Line Marking 7.7km	\$267,000
Total	\$267,000

Fixing Local Roads 4 Program

Road Name & Works Completed	Cost
Andersons Lane – Gravel Resheet	\$35,500
Johnstons Road – Gravel Resheet	\$35,500
Pinteebakana N – Gravel Resheet	\$71,000
Pinteebakana S – Gravel Resheet	\$71,000
Merungi Road – Gravel Resheet	\$71,000
Total	\$284,000

Fixing Local Roads Round 4 has a budget of \$834,250 and funds have to be expended by 1 March 2025.

Local Roads – Capital Works

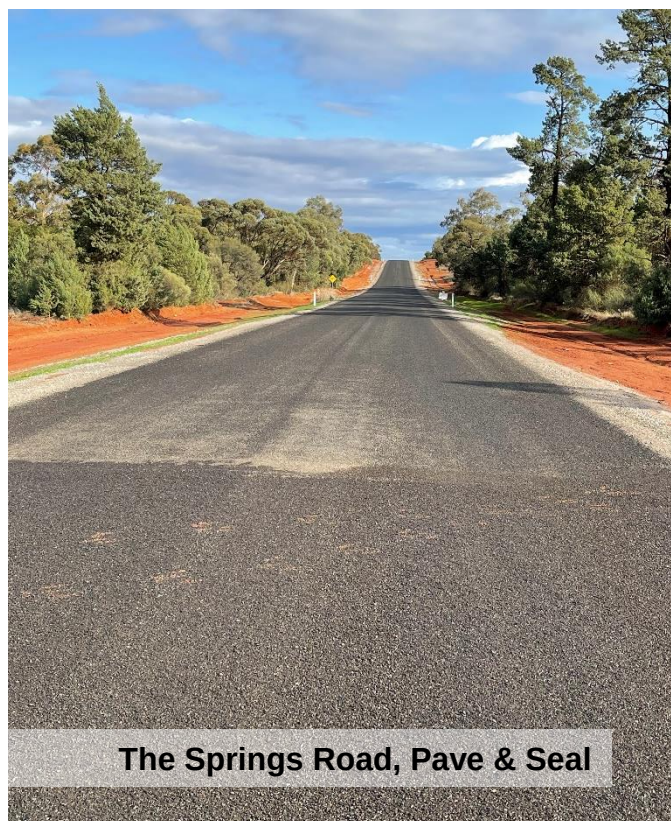
Road Name & Works Completed	Cost
Johnstons Road – Culvert Installation	\$9,750
Ryans Road – Culvert Installation	\$6,500
Boorga Road – Culvert Installation	\$31,170
Lachlan River Road – Construct & Seal 5.6km	\$1,397,618
Pinteebakana Road – Culvert Installation	\$16,000
Mitchells Road – Culvert Installation	\$12,000
Parkers Road – Culvert Installation	\$12,000
Total	\$1,625,038

Other works undertaken during the reporting period include, maintenance grading, pavement repair, mowing, pavement sweeping, guide

posting, weed control, rest area maintenance, inspections, litter removal and storm damage repair work.

Many parts of the shire were severely affected by flooding and the Carrathool Shire was included in a natural disaster declaration following the September rain events. As part of the emergency flood works, Council has submitted a claim for funding for the amount of \$1,371,337. Plus, as part of the long-term repair to the damaged road network an initial claim for \$10,064,883 has also been lodged. Council is awaiting confirmation as to the extent of repairs that will be funded under the natural disaster funding.

As part of the widespread flooding across the state, the Government announced that Carrathool Shire had received Regional & Local Roads Repair Program funding of \$4,759,721.00 and Pothole Repair funding of \$896,464.41

**Footpaths, Kerb and Guttering****Footpaths:**

- New construction along the Kidman Way to the Hillston Cemetery.
- New footpath construction in Rankins Springs village.
- Footpath upgrade in High Street, Hillston.

Kerb & Gutter:

- Replacement in Florence Street, Hillston
- Replacement in Byron Street, Hillston

Aerodromes

Council provides two airfields to service the shire, these key assets support economic activity, health and emergency services.

- An unsealed landing strip in Goolgowi.
- Hillston has a sealed 18 m wide and 1,300 m long strip with an unsealed cross strip and Pilot Activated Lighting System.

Regular inspections, reporting and maintenance were undertaken during 2022/2023.

Plant & Fleet

Council maintains a large plant and fleet program in order to undertake the scale of construction and maintenance contained in the Roads & Maritime Services (RMS) Routine Maintenance Council Contract and for Council's regional and local roads.

As at 30 June 2023 Council had approximately \$15,312,000 of heavy plant, trucks, mowers and light vehicles

Water Supplies

Potable Water is supplied to the township of Hillston and the villages of Goolgowi, Merriwagga, Carrathool, and Rankins Springs. At the same time, Stock and domestic (Raw Water) are provided to Bunda, Goorawin, Yoolaroi, Melbergen, and Rankins Springs rural customers, including Goolgowi and Rankins Springs urban areas, as a dual supply system.

The council has been effectively managing its water supply system, with no critical water quality breaches recorded for 2022/2023.

The NSW Department of Primary Industry and Environment (DPIE) regularly inspected water works and tested water quality, and found all water assets were satisfactory and performed to the standards.

Council has a protocol for on-site water quality testing daily/weekly. Council sends samples to an independent NATA-accredited laboratory for testing in consultation with the Public Health Unit. Results from these tests get uploaded to the Council website quarterly. All bore fields tested for Perfluoroalkyl and Polyfluoroalkyl substance, with radioactivity and pesticide tests to follow. Council is required to undertake this type of test every five years.

During 2022/2023 Council completed the following capital works:

- Water mains Replacement:
 - 290m on Burns Street, Hillston
 - 220m on Stipa Street, Goolgowi
 - 2,500m on Bunda Road, Bunda Scheme
 - 2,000m on Melbergen Road, Yoolaroi Scheme
 - 816m on Wollarma Road, Yoolaroi Scheme
 - 1,500m on Mid-Western Highway, Rankins Springs Rural Scheme
 - 1,500m on Monia Gap Road, Melbergen Scheme
 - 1,000m on Vearings Lane, Melbergen Scheme
- A total of 810m of water main and 20 service connections were completed to service the new subdivision area at Hillston between McGregor and O'Donnell Street.
- A backup chlorine disinfection system has been constructed and commissioned at the Merriwagga pump site. This system will help Council maintain adequate potable water disinfection when the upstream system at Langtree bore breaks down or the site becomes inaccessible during wet weather events.
- Carrathool water storage capacity increased to 360KL with 4x45KL tanks and SS pipework installed and commissioned.

Major Plant Purchases:

- Prime Mover Truck
- Motor Grader
- JCB Backhoe
- Portable Traffic Lights
- Variable Message Boards

Reserves, Parks & Gardens

Council maintains various parks and gardens in all urban areas and carries out works ranging from mowing and watering to landscaping. Modern playground equipment is also provided and is subject to a regular inspection program. All parks and gardens are maintained in a satisfactory condition.

Achievements during 2022/2023 include:

- Settlers Park, Goolgowi new irrigation system
- Hillston Cemetery, new fencing
- Zara Street, Goolgowi planting of gardens and installation of irrigation system
- Stan Peters Oval, Hillston new irrigation system.

- Hillston Bore-2 generator was replaced with larger size to accommodate future expansion of the scheme by larger pumps.
- Approximately 180m of eroded banks were re-shaped and formed with geo-fabric and rocks at the Billing Road water storage dam.
- 300m of fencing were replaced at Cruickshank's pump station on the Rankins Springs Rural scheme.
- 3 Concrete water storage tanks have been relined on Whitton Stock Route to increase the lifespan and stop water seepages via cracks.

The Rankins Springs Water Treatment Plant is consistently performing well under the constant supervision of DPIE officers.

Integrated Water Cycle Management System

The council has achieved Milestone-1, "Submit IWCM issue paper to SSWP (Safe and Secure Water Program) for review and concurrence." and has received a payment claim-1 of \$146,493.90 (90% of Grant funding) of the total amount of \$162,771.00

Water and sewer hydraulic modelling and analysis of potential options to address identified issues is well underway. It is expected that the IWCM strategy will be finalised by November 2024.

Sewerage Services

Council manages and maintains one sewage treatment plant (STP) at Hillston and evaporation ponds at Goolgowi and Rankins Springs.

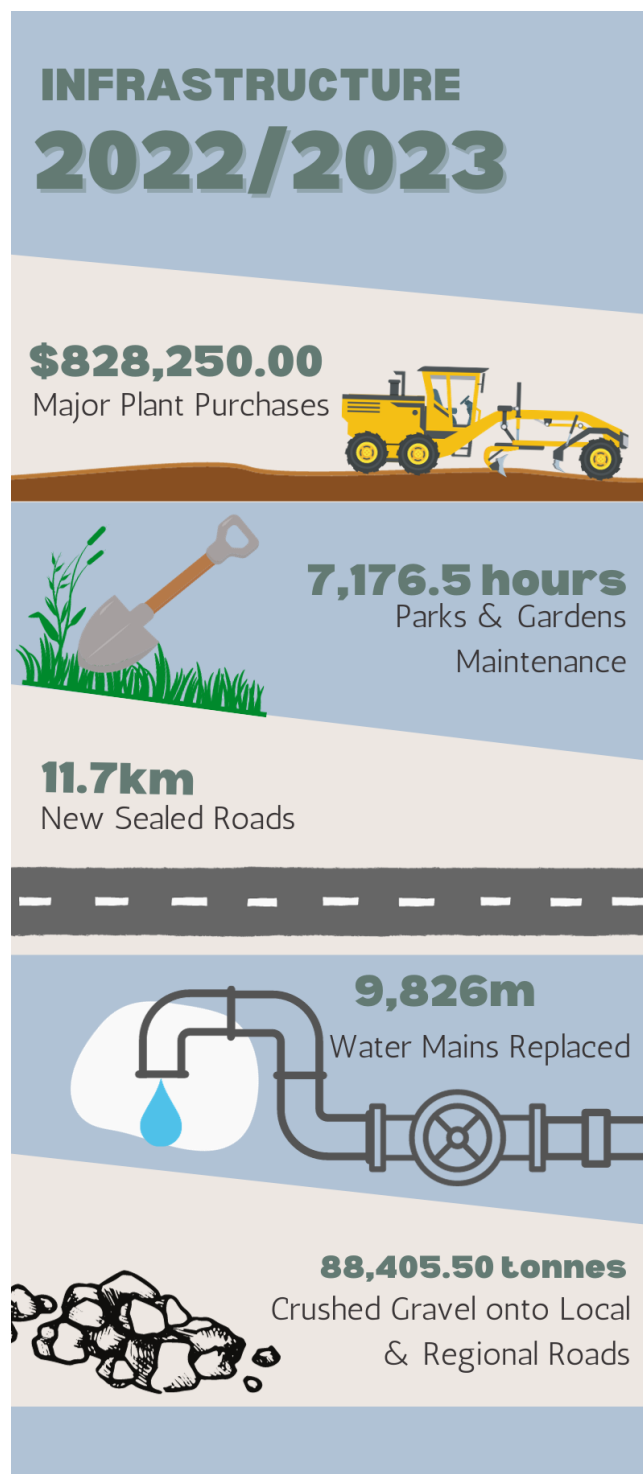
The STP in Hillston provides secondary treatment of sewage, based on the extended aeration process with sludge treatment by anaerobic digestion in a sludge lagoon. The final treated effluent is disposed of via evaporation from the basins at the STP site.

Wastewater from Rankins Spring Water Treatment Plant also pumps into the evaporation ponds after recycling.

During 2022/2023 Council completed the following capital works:

- Inspection of all sewer wells across all sewerage schemes and performed minor repairs as identified.
- Sewer main relining on Grattan Street (138m) and Charles Street (205m)

- Goolgowi Sewer Ponds Rehabilitation works. This project is funded under the Local Roads and Community Infrastructure (LRCI) Program Phase 3.





Building & Regulatory Services Highlights

Buildings and Public Amenities

Council controls land valued at:

\$41.525 Million

Regular maintenance to all public facilities will ensure they are kept in such a way that all health accessibility and safety standards are addressed.

During 2022/2023 works were completed at several Council facilities:

- Carrathool Hall, repainted
- Hillston Swimming Pool, solar panel installation
- Goolgowi Hall, repainted

Along with works at community ran facilities:

- Goolgowi Oval, new toilets
- Rankins Springs Pony Club, undercover horse arena

Development & Building Control

Council's Local Environmental Plan (LEP) 2012 has been in place for ten years and is generally accepted by the community.

Work has continued on the new subdivision at Hillston. The land has now been cleared, surveyed and water mains and service connections installed. Kerb and gutter works as well as installation of other essential services are planned for the 2023/24 financial year.

During the reporting period Council approved the following with a total estimated construction value of \$33,564,855.

Development Applications	36
Complying Development Certificates	0

Cemeteries

Council manages four cemeteries, located in Hillston, Goolgowi, Rankins Springs and Carrathool. Local community members assist in maintaining the cemetery surrounds and is appreciated by Council.

Council continues to maintain burial records in compliance with legislative requirements.

Caravan Parks

Council provides caravan park facilities at Hillston, Goolgowi and Rankins Springs. The parks are utilised by the travelling public and accommodation for itinerant workers. In the 2022/2023 financial year an estimated 8,500 guests stayed at Council's caravan parks. The Hillston Caravan park between July 2022 and June 2023 serviced a total of 6,916 occupants, 6,562 of which were short stay travellers.

Throughout 2022/2023 Council continued its upgrade of the Caravan Parks. With the purchase and installation of two new commercial washing machines in Hillston and installation of a dryer at the Goolgowi caravan park.

Swimming Pools

Council maintains and operates two 25 metre swimming pools located in Hillston and Goolgowi.

The complexes are open to the public from November to the end of March each year.

In 2022/2023 the Goolgowi Swimming Pool successfully transitioned to unsupervised operation. Works included an access gate, CCTV and a public access defibrillator. This extended the operating hours open to the public from 26 hrs a week to over 80 hrs a week.

Waste Management – Landfills

Council operates and maintains five waste management facilities including landfill facilities in Hillston, Carrathool and Rankins Springs and waste transfer stations in Merriwagga and Goolgowi with waste disposed at the Hillston landfill. All facilities have provision for green waste and recycling of scrap metals.

The Hillston, Goolgowi, Rankins Springs and Carrathool facilities operate under permanent supervision during restricted opening hours.

Weed Control

Council's weeds activities for 2022/2023 saw the continuation of one Biosecurity Officer, associated equipment to control biosecurity threats, carry out inspections, and educate landholders throughout the shire's 19,000sq km area.

Private Property Inspection Program

During 2022/2023 Council's officer conducted a private property inspection program focusing on Spiny Burr Grass, Parthenium Weed, Alligator Weed, Clockweed, Prickly Pears and African Boxthorn. Through these interactions we have created open contact with our local landholders increasing efficiency and assisting where we can.

Annual alligator weed surveillance week

In the month of May 2023, Council co-coordinated with Griffith council for our annual alligator weed surveillance week. We were very fortunate to have an excellent turn out of approximately 25 weed professionals that were sourced from the DPI, LLS and biosecurity officers from LGA's of Riverina and Murray regions.

In our surveillance efforts Council discovered two infestations of alligator weed that were quickly and efficiently controlled in coordination with the landholders. Due to the importance of this weed we will continue to host this event annually to prevent alligator weed from affecting the primary production of our shire and the Riverina.

External operations

In the month of June 2023, our biosecurity Officer had assisted Western Local Land Services in the week-long aerial surveillance of Parkinsonia and Rubber Vine Along the Paroo river and riparian areas in the unincorporated area of the State of NSW.

New incursions

In the 2022/2023 year Council identified and assisted in the control of 3 infestations of green cestrum within the Township of Hillston. Thanks to the excellent response of the community responding to our awareness messages on social media and in the local paper.

Use of enforcement procedures for noxious weed control

In 2022/2023 no biosecurity directions were issued.

Weed recording, mapping, survey and reporting activities

Council's mapping program has included the development of maps indicating the extent/density of the following weeds:

- Alligator Weed
- Green Cestrum
- Spiny Burr Grass
- St. John's Wort
- Silver leaf nightshade
- Clockweed
- African Boxthorn
- Opuntia cacti, (Prickly Pears) such as;
 - Chicken dance cactus
 - Rope Pear
 - Indian fig
 - Common Pear
 - Aarons Beard
 - Velvety tree pear
 - Riverina Pear



Hillston Caravan Park – Deluxe Cabin

Statutory Reporting

Council is required to report on a number of items as set out in the *Local Government Act 1993* and *Local Government (General) Regulation 2021*.

Councillors Fees & Expenses

Local Government (General) Regulation 2021 Clause 217(1)(a1)

Council's Payment of Expenses and Provision of Facilities policy identifies expenses that will be paid and facilities that will be provided to councillors in the discharge of their civic functions. The policy was reviewed in January 2023 and readopted by Council on 21 February 2023. The Payment of Expenses and Provision of Facilities policy is available on Council's website.

In line with this policy, Councillors receive payment of out of pocket expenses for travelling and subsistence whilst undertaking Council business. Accommodation expenses are also paid for meetings, delegations and conferences held out of the Shire.

Expenditure during the 2022/2023 financial year:

Detail	Amount \$
Mayoral fees	\$27,650.00
Councillors' fees	\$126,503.00
Councillors' expenses:	\$13,071.00
Total	\$167,224.00

Councillors' expenses items listed above include the following items which must be separately reported:

Detail	Amount \$
Provision of facilities	Nil
Telephone calls	Nil
Conferences and seminars	Nil
Training and skills development	Nil
Interstate travel	Nil
Overseas travel	Nil
Partner / spouse expenses	Nil
Childcare expenses	Nil

Register of Overseas Travel

Local Government (General) Regulation 2021 Clause 217(1)(a)

No Council official travelled overseas as a Council representative during 2022/2023.

Councillor Training & Skills Development

Councillors did not undertake training during 2022/2023. Councillors last undertook training in April 2022.

Remuneration Packages

Local Government (General) Regulation 2021 Clause 217(1)(b)

The General Manager (GM) is the only staff member designated as a senior staff member. The total remuneration for 2022/2023 is as follows:

Detail	Amount \$
Salary	\$261,295.00
Employer compulsory superannuation	\$24,823.00
Bonus or other payments	Nil
Non-cash benefit (house, phone & car)	Nil
Total fringe benefits	\$11,909.00
Total	\$298,027.00

Rates Charges Written Off

Local Government (General) Regulation 2021 Clause 132

Council wrote off the following rates and charges during the 2022/2023 financial year:

Detail	Amount \$
Rates Written Off	\$334.00
Water Charges Written Off	\$461.00
Sewer Charges Written Off	\$29.00
Total	\$824.00

During the year \$53,277.00 in rates and charges were written off under the pensioner rebate scheme with Council receiving a subsidy totalling \$31,299.65.

No request to write off rates and charges under Council's Hardship Policy was received during 2022/2023.

Legal Proceedings

Local Government (General) Regulation 2021 Clause 217(1)(a3)

Council incurred the following legal costs during the 2022/2023 Financial Year:

Detail	Amount \$
Debt Collection	\$33,784.00
Staff Matters	\$4,263.00
Total	\$38,047.00

Contracts Awarded

Local Government (General) Regulation 2021 Clause 217(1)(a2)

Council awarded the following contracts greater than \$150,000.00 during the 2022/2023 Financial Year:

Name	Nature	Amount
Craig McKeon Earthmoving	Lachlan River Road Design & Construct	\$982,564.00
Wagga Trucks	Prime Mover	\$378,400.00
Westrac Pty Ltd	Motor Grader	\$449,850.00
Litchfield Horizontal Boring	Replace Water Main – Rankins Springs Melbergen	\$154,962.50
Lowes Petroleum Services	Supply & Delivery, Fuel & Lubricants	\$1,100,000.00

Contributions & Grants

*Local Government (General) Regulation 2021 Clause 217(1)(a5),
Local Government Act 1993 Section 356*

Council recognises the importance of assisting not-for-profit community groups and organisations that are working towards the enhancement of facilities and improving community relations.

Council's Community Grants and Donations Policy outlines Councils annual grant opportunities. The policy is available on Councils website.

Detail	Amount \$
Community Grants Scheme 2021/22 (18 applications)	\$19,084.00
Hillston Show Society	\$1,500.00
Griffith Off Road Club Inc Event	\$3,000.00
Anzac Day 2023	\$1,584.00
Rates waived for Community Groups	\$3,692.00
Charles Sturt Scholarship Scheme 2023	\$9,000.00
Hillston Triathlon	\$1,110.00
Life Education Van	\$685.00
Other minor community assistance	\$296.00
Total	\$38,451.00

Corporations, Partnerships, Trusts & Joint Ventures

Local Government (General) Regulation 2021 Clause 217(1)(a7)

Council held no controlling interest in any company during the 2022/2023 period.

Local Government (General) Regulation 2021 Clause 217(1)(a8)

Council was involved with the following organisations during 2022/2023.

- Riverina and Murray Joint Organisation (RAMJO)
- Riverina Regional Weed Committee
- Rural Fire Service NSW
- Statewide Mutual Insurance
- TAFE NSW
- Western Regional Weed Committee
- Western Riverina Library (WRL)

External Bodies

Local Government (General) Regulation 2021 Clause 217(1)(a6)

The following bodies exercised functions on behalf of Council, through the care, control and management of Council assets during 2022/2023.

- Goolgowi Hall Management Committee
- Merriwagga Hall Management Committee
- Rankins Springs Hall Management Committee
- Rankins Springs Sport & Rec Ground Committee
- Wallanthry Hall Management Committee

Works on Private Land

*Local Government (General) Regulation 2021 Clause 217(1)(a4)
Local Government Act 1993 Section 67*

Council did not resolve to undertake any private works during the period 2022/2023.

Stormwater Management Services

Local Government (General) Regulation 2021 Clause 217(1)(e)

Council did not levy an annual charge for stormwater management services during the period 2022/2023.

Coastal Protection Services

Local Government (General) Regulation 2021 Clause 217(1)(e1)

As an inland rural shire, Council is not required to provide coastal protection services.

Environmental Upgrade Agreements

Local Government Act 1993 Section 54P

Council did not enter into any agreements during 2022/2023.

Planning Agreements

Environmental Planning and Assessment Act 1979 Section 7.5

One planning agreement was in force during 2022/2023 with ITP Developments Pty Ltd. This agreement has a value of \$100,000 plus CPI payable over 10 years.

Public Interest Disclosures

Public Interest Disclosures Act 1994 Section 31

Council received no Public Interest Disclosures during the 2022/2023 financial year.

Capital Works Projects

Public Interest Disclosures Act 1994 Section 31

In accordance with the Office of Local Government's Capital Expenditure Guidelines, Council is required to report on renovation or extension projects at a cost that is 10% of Council's annual rate revenue. This equates to \$361,390. It is noted that capital expenditure on land purchases, land remediation, water supply networks, sewerage networks, stormwater drainage, domestic waste management facilities, roads, footpaths, and bridges is exempt from the reporting requirements.

Carers Recognition

Carers (Recognition) Act 2010 Section 8 (2)

Carrathool Shire Council is considered to be a 'human service agency' as a provider of services for carers and people being cared for by carers through the provision of Home and Community Care Services (HACC), Community Transport and Respite activities.

Disability Inclusion Action Plan

Disability Inclusion Act 2014 Section 13

Our Disability Inclusion Action Plan (DIAP) was adopted as a part of our community strategic planning and delivery programs in 2017. Input from our community members who live with disability, or have experience in accessibility and inclusion, helped us to make decisions on our plans and programs and to build on the work we had already started.

We are committed to meeting the current and future needs of our residents and visitors, and we have achieved progress in our Shire's priorities for making our communities more accessible and inclusive. We ensure that inclusion is built into our day-to-day work, and disability inclusion priorities are built into our ongoing strategies and programs.

The current plan is currently being reviewed and is expected to be adopted by the end of October 2023.

Privacy & Personal Information

Privacy and Personal Information Protection Act 1998 Section 61A

Details	Number
Requests for Information	0
Internal Reviews	0

Swimming Pool Inspections

Swimming Pool Act 1992 Section 22F(2)

Swimming Pool Regulation 2018 Clause 23

Details	Number
Certificates of compliance <i>Swimming Pool Act 1992 s22D</i>	1
Certificates of non-compliance <i>Swimming Pool Regulation 2018 c18BA</i>	1

Equal Employment Opportunity

Local Government (General) Regulation 2021 Clause 217(1)(a9)

Council aims to provide a workplace free from discrimination, harassment and bullying; promoting Equal Employment Opportunity (EEO), equity, respect and tolerance in all work and management practices, creating a harmonious, safe and productive workplace benefitting employees, the organisation and the wider community.

Council received no complaints in relation to EEO during the 2022/2023 financial year.

Council continues to review processes and actions to ensure compliance with merit based recruitment and selection, induction, fair assessment procedures, targeted training development, merit based promotion and transfer and non-discriminatory employment opportunities.

Companion Animals Act & Regulation

Activities

Local Government (General) Regulation 2021 Clause 217(1)(f)

During the return period Carrathool Shire Council lodged all required returns to the department.

Over the past year Council received 15 reports of alleged dog related incidents.



Government Information (Public Access)

Government Information (Public Access) Act – Annual Report for Agency Carrathool Shire Council

Clause 8A: Details of the review carried out by the agency under section 7 (3) of the Act during the reporting year and the details of any information made publicly available by the agency as a result of the review

Reviews carried out by the agency	Information made publicly available by the agency
Yes	Yes

Clause 8B: The total number of access applications received by the agency during the reporting year (including withdrawn applications but not including invalid applications)

Total number of applications received
1

Clause 8C: The total number of access applications received by the agency during the reporting year that the agency refused either wholly or partly, because the application was for the disclosure of information referred to in Schedule 1 to the Act (information for which there is conclusive presumption of overriding public interest against disclosure)

Number of Applications Refused	Wholly	Partly	Total
	0	0	0
% of Total	0%	0%	

Schedule 2 Statistical information about access applications to be included in annual report

Table A: Number of applications by type of applicant and outcome*

	Access Granted in Full	Access Granted in Part	Access Refused in Full	Information not Held	Information Already Available	Refuse to Deal with Application	Refuse to Confirm/Deny whether information is held	Application Withdrawn	Total	% of Total
Media	0	0	0	0	0	0	0	0	0	0%
Members of Parliament	0	0	0	0	0	0	0	0	0	0%
Private sector business	0	0	0	0	0	0	0	0	0	0%
Not for profit organisations or community groups	0	0	0	0	0	0	0	0	0	0%
Members of the public (by legal representative)	0	0	0	0	0	0	0	0	0	0%
Members of the public (other)	0	0	1	0	0	0	0	0	1	100%
Total	0	0	1	0	0	0	0	0	1	
% of Total	0%	0%	100%	0%	0%	0%	0%	0%		

* More than one decision can be made in respect of a particular access application. If so, a recording must be made in relation to each such decision. This also applies to Table B.

Table B: Number of applications by type of application and outcome*

	Access Granted in Full	Access Granted in Part	Access Refused in Full	Information not Held	Information Already Available	Refuse to Deal with Application	Refuse to Confirm/Deny whether information is held	Application Withdrawn	Total	% of Total
Personal information applications*	0	0	0	0	0	0	0	0	0	0%
Access applications (other than personal information applications)	0	0	1	0	0	0	0	0	1	100%
Access applications that are partly personal information applications and partly other	0	0	0	0	0	0	0	0	0	0%
Total	0	0	1	0	0	0	0	0	1	
% of Total	0%	0%	100%	0%	0%	0%	0%	0%		

* A personal information application is an access application for personal information (as defined in clause 4 of Schedule 4 to the Act) about the applicant (the applicant being an individual).

Table C: Invalid applications

Reason for invalidity	No of applications	% of Total
Application does not comply with formal requirements (section 41 of the Act)	0	0%
Application is for excluded information of the agency (section 43 of the Act)	0	0%
Application contravenes restraint order (section 110 of the Act)	0	0%
Total number of invalid applications received	0	0%
Invalid applications that subsequently became valid applications	0	0%

Table D: Conclusive presumption of overriding public interest against disclosure: matters listed in Schedule 1 of Act

	Number of times consideration used*	% of Total
Overriding secrecy laws	0	0%
Cabinet information	0	0%
Executive Council information	0	0%
Contempt	0	0%
Legal professional privilege	0	0%
Excluded information	0	0%
Documents affecting law enforcement and public safety	0	0%
Transport safety	0	0%
Adoption	0	0%
Care and protection of children	0	0%
Ministerial code of conduct	0	0%
Aboriginal and environmental heritage	0	0%
Privilege generally - Sch 1(5A)	0	0%
Information provided to High Risk Offenders Assessment Committee	0	0%
Total	0	

*More than one public interest consideration may apply in relation to a particular access application and if so, each such consideration is to be recorded (but only once per application). This also applies in relation to Table E

Table E: Other public interest considerations against disclosure: matters listed in table to section 14 of Act

	Number of times consideration used*	% of Total
Responsible and effective government	0	0%
Law enforcement and security	0	0%
Individual rights, judicial processes and natural justice	0	0%
Business interests of agencies and other persons	1	100%
Environment, culture, economy and general matters	0	0%
Secrecy provisions	0	0%
Exempt documents under interstate Freedom of Information legislation	0	0%
Total	1	

Table F: Timeliness

	Number of applications*	% of Total
Decided within the statutory timeframe (20 days plus any extensions)	1	100%
Decided after 35 days (by agreement with applicant)	0	0%
Not decided within time (deemed refusal)	0	0%
Total	1	

Table G: Number of applications reviewed under Part 5 of the Act (by type of review and outcome)

	Decision varied	Decision upheld	Total	% of Total
Internal review	0	0	0	0%
Review by Information Commissioner*	0	0	0	0%
Internal review following recommendation under section 93 of Act	0	0	0	0%
Review by NCAT	0	0	0	0%
Total	0	0	0	
% of Total	0%	0%		

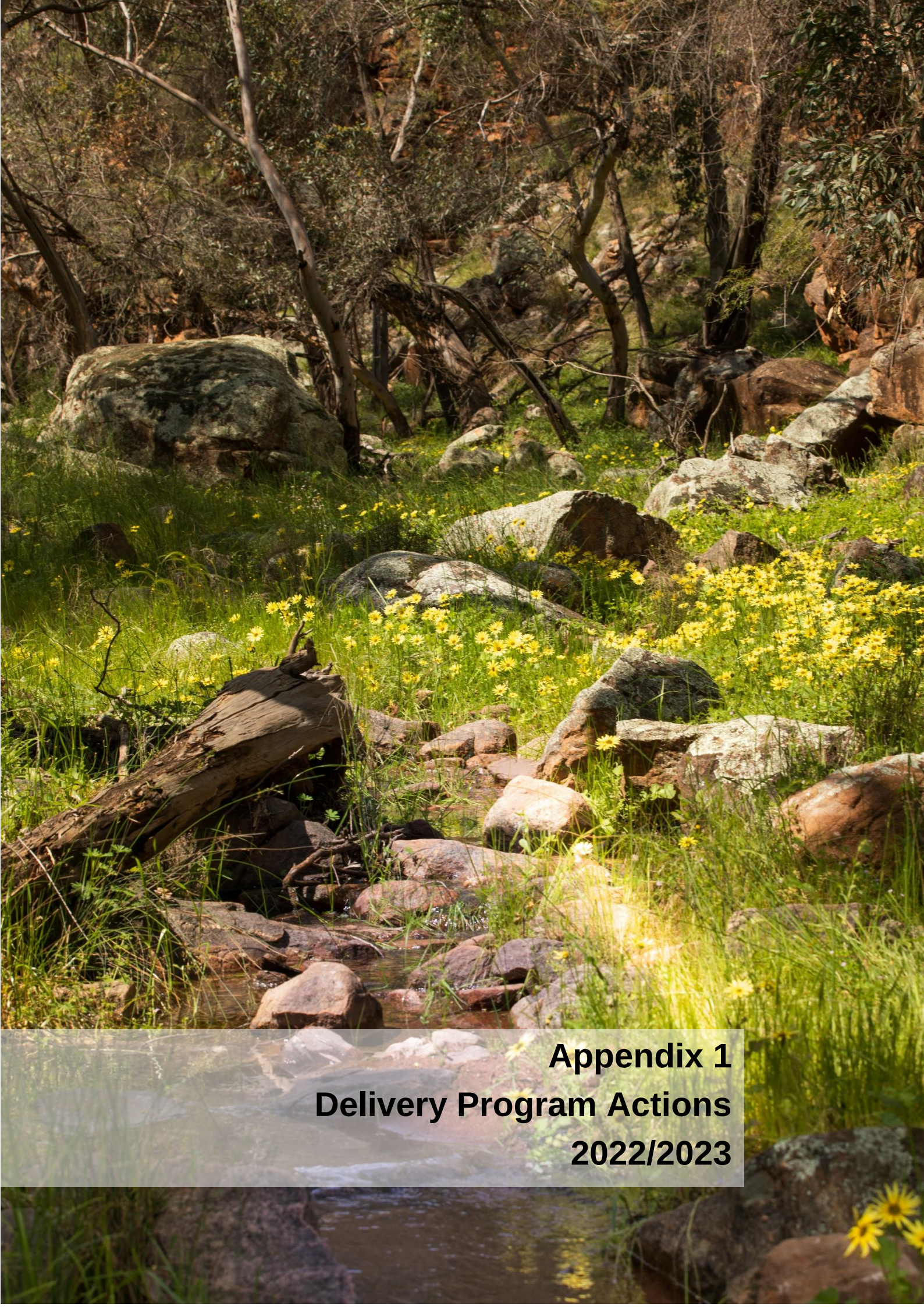
*The Information Commissioner does not have the authority to vary decisions, but can make recommendations to the original decision-maker. The data in this case indicates that a recommendation to vary or uphold the original decision has been made by the Information Commissioner.

Table H: Applications for review under Part 5 of the Act (by type of applicant)

	Number of applications for review	% of Total
Applications by access applicants	0	0%
Applications by persons to whom information the subject of access application relates (see section 54 of the Act)	0	0%
Total	0	

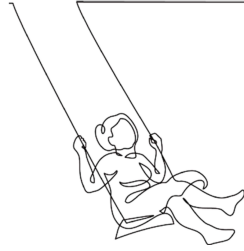
Table I: Applications transferred to other agencies.

	Number of applications transferred	% of Total
Agency-Initiated Transfers	0	0%
Applicant - Initiated Transfers	0	0%
Total	0	



Appendix 1
Delivery Program Actions
2022/2023

Goal 1 Thriving and Liveable Communities



Objective 1.1 Implement a consistent and strategic planning approach to the use and development of land

CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
1.1.1 Land use planning supports population and business growth.	1.1.1.1 LEP review with a focus on business and residential zones	MBRS	Number of DA's approved	●	20 DA's have been approved since the start of March 2023.
			Number of new businesses in our shire	●	There are two new businesses in our shire since the start of March 2023.
1.1.2 Policies and planning controls maintain High Street as the core of Hillston's retail and business activity	1.1.2.1 Plan and implement Hillston High Street beautification and revitalisation projects.	MBRS MFTS	Main street projects implemented & completed	●	Appropriate planning controls are in place.
	1.1.2.1 Maintain Hillston High Street and business area public spaces to a high standard.		Level of community satisfaction	●	No complaints received regarding main street presentation

Objective 1.2 Provide enough housing options to meet our needs

CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
1.2.1 There is adequate land supply and subdivisions to ensure sufficient housing availability and choice	1.2.1.1 Develop Residential Subdivision Hillston	GM	Planning zone approval	●	NSW Department of Planning has approved the rezoning of land from RU1 Rural to RU5 Village.
			Subdivision developed	●	Subdivision development project commenced.

Objective 1.3 Create attractive and vibrant communities

CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
1.3.1 Create open spaces and urban streetscapes that are vibrant, attractive, accessible, and safe	1.3.1.1 Maintain/improve parks to acceptable standards	MFTS	Number of positive comments received from community	●	Parks maintenance is being monitored continually through the year. There have been minimal complaints regarding park standards and issues have been addressed promptly.
	1.3.1.2 Continue to upgrade and maintain infrastructure that supports cultural recreational and leisure activities		Infrastructure maintained to an acceptable level	●	Effective & useful lives of existing infrastructure are acceptable for current service delivery.
1.3.2 Develop the Lake Woorabinda precinct to address recreational and social needs and provide a focus for tourism	1.3.2.1 Support projects that enhance and promote local natural resources to encourage business and tourism	CDO	Relevant projects are sourced, supported, and assisted.	●	Grant funding has been successful under the Stronger Country Communities Fund Round 5 program. Works are expected to commence soon. The inaugural Lake Woorabinda Festival was held in 2023 and is planned for 2024. This festival highlights the Lake precinct and attracts visitors to the area.

Goal 2 Accessible and Connected



Objective 2.1 Pedestrian accessibility improves our connections to the community					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
2.1.1 Walkable streets, well-planned footpaths and walking tracks connect people and places within our communities	2.1.1.1 Support activities / projects that increase community participation and connection	CDO	Number of incidents on footpaths	●	One incident reported to Council at the completion of quarter 2, 2022/23.
			Number of community members using pedestrian facilities	●	Visual observation indicates that use is being made of council facilities.
			Community satisfaction with footpaths and walking tracks	●	Few substantive complaints received.
	2.1.1.2 Utilise Safer by Design principles in public space planning		Safer by Design principles incorporated into public space development	●	No new public spaces created.
	2.1.1.2 Work with communities to establish plans for town and villages		Plans developed with community consultation	●	Not commenced.
2.1.2 Open spaces and parks are accessible by everyone	2.1.2.1 Ensure parks and gardens and sportsgrounds are maintained to an acceptable standard.	MFTS	Number of parks and open spaces accessible by all	●	Council continues to explore funding opportunities for ongoing improvements/upgrades.

Objective 2.2 We are connected within our community and elsewhere through reliable road networks					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
2.2.1 Local roads are well maintained to allow for efficient travel within and out of our shire	2.2.1.1 Routine maintenance, heavy patching and reseals continued under Regional Roads Block Grant contract	DIS MIS	Obligations under funding arrangements met		Council has met all funding arrangement obligations.
			Community satisfaction with regional road network		Few substantive complaints received.
	2.2.1.2 Reconstruction of sealed regional roads under Regional Roads Repair Program continued		Obligations under funding arrangements met		Council has met all funding arrangement obligations.
			Community satisfaction with regional road network		Few substantive complaints received.
	2.2.1.3 Continue local roads reconstruction under Roads to Recovery Program		Obligations under funding arrangements met		Council has met all funding arrangement obligations.
			Community satisfaction with regional road network		Few substantive complaints received.
	2.2.1.4 Continue local sealed roads routine maintenance, heavy patching & resealing		Community satisfaction with local sealed road conditions		Few substantive complaints received.
			Maintain sufficient budget to resource local road requirements		Given the LGA's extensive road network, Council rigorously monitors its roads budget and continues to explore all avenues for grant funding.
2.2.2 Roads are optimised to allow for better freight and produce movement and connections	2.2.2.1 Improve asset management inspection regime and maintenance	DIS MIS	Asset Management Inspection regime assists in resolving defects		Ongoing program.
	2.2.2.2 Support projects that aim to reduce transport disadvantage		Number and quality of programs supported		Discussions have been held with TfNSW regarding opportunities for addressing transport disadvantages in the community.

Goal 3 Resilient and Welcoming



Objective 3.1 Improved opportunities to connect with others					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
3.1.1 Use public spaces to hold events, recreational and cultural activities	3.1.1.1 Build community capacity around inclusion of people from all cultural, social, and ability groups	CDO	Number of events and activities held in our public spaces	●	Numerous community events sponsored by Council have been held at council pools & sportsgrounds. Future opportunities will be considered.
			Number and quality of initiatives developed	●	To be determined.
	3.1.1.2 Continue to facilitate Australia Day activities		Community satisfaction with the Australia Day activities – Australia Day celebrated	●	Australia Day function held with positive feedback.
3.1.2 Promote social and special interest groups, and opportunities to be involved	3.1.2.1 Support appropriate community development activities undertaken by a range of organisations and provide assistance with project development, community building and group facilitation	CDO	Number of social and special interest groups in the shire.	●	To be determined.
	3.1.2.2 Facilitate and support appropriate youth activities		Relevant and effective programs undertaken	●	Youth week has been supported on an annual basis by Council. Various youth programs & opportunities have taken place with Council support.
			Community satisfaction with programs	●	
3.1.3 Support local groups and communities to provide events, activities, and programs to encourage community connection	3.1.3.1 Advocate, support and raise awareness of programs that promote the physical and mental health and well-being of community members	CDO	Community satisfaction with community events, activities, and programs	●	No substantive complaints received.
			Number and quality of programs	●	Not yet commenced.
	3.1.3.2 Support activities that promote cultural awareness and diversity in ability and age	DCCS CDO	Participate in Youth Week	●	Various activities undertaken during Youth Week 2023.
			Participate in Seniors Week	●	Function held.
			Participate in International Women's Day	●	Unable to participate in 2023 due to clashing dates.
	3.1.3.3 Provide Community Development staff to facilitate community building	GM	Community development staff engaged	●	Staff interact positively with various groups & interests in this area.

Objective 3.2 Develop and promote our shire as a tourist destination						
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes	
3.2.1 Improve the visual appearance of our town and village's entrances	3.2.1.1 Upgrade and maintain approaches to town and villages	MFTS	Community satisfaction with the appearance of our town and village approaches		No complaints received regarding town & village approach presentation.	
	3.2.1.2 Maintain main street and business area public spaces to a high standard		Level of community satisfaction		No complaints received regarding main street presentation.	
	3.2.1.3 Continue to lobby for external funding for town and village beautification	GM DIS	Amount of external funding dollars received for town and village beautification		Funding has been received for a number of beautification projects under the Stronger Country Communities Fund Round 5 program	
3.2.2 Identify, plan, and implement local tourism opportunities and related services	3.2.2.1 Develop visitor markets in line with Regional Tourism Organisation	CDO EDO	Number of tourists who visit the shire		Visitor Information Centre actively engages with tourists visiting our shire. The caravan parks combined had 8,500 guests in total during 2022/23.	
			Strategies to target new markets and niche markets developed		Staff participate in regional marketing strategies.	
	3.2.2.2 Display Carrathool Shire tourism Information at regional and interstate visitor centres		Carrathool Shire brochures at regional VICs.		Carrathool Shire brochures are displayed outside the LGA in numerous locations.	
			Displays/attendance at select consumer shows		Staff attend relevant events to promote Carrathool Shire.	
	3.2.2.3 Promote the Shire as a location for business development and investment		Number of new developments/investments		There have been four rural business developments approved to date in 2022/23. There is an additional rural business development in the initial stages of planning.	

Objective 3.3 Improve support for our community members					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
3.3.1 Provide services to support families	3.3.1.1 Provide appropriate support to organisations that provide services to people with a disability	DCCS	Community satisfaction with family services		Minimal complaints received regarding services provided by Council. Services are continuously monitored for client satisfaction.
	3.3.1.2 Continue to advocate and lobby for appropriate medical services	GM	Support provided to medical practitioners and health workers		New doctor has commenced practicing at the Hillston Medical Centre and the operational status of the Centre is regularly reported to Council.
	3.3.1.3 Work with relevant organisations to improve	GM	Improved access and health outcomes		New health networks being accessed.

Objective 3.4 Implement strategies that assist in creating local jobs					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
3.4.1 Support educational and employment opportunities that retain our young people and local talent, and attract new workers	3.4.1.1 Continue to provide the School to Work program, offering options for work experience and Traineeship/ Apprenticeship employment with Council	GM HR	Youth unemployment rate		Council offers apprenticeships, traineeships and work placement where appropriate.
			School to Work placements provided		Opportunities are available. Uptake is dependent upon student interest.
	3.4.1.2 Provision of with Education Fund Scholarship (CSU Scholarship)	DCCS	Funding provided		Funding not due to be provided until early 2024.
	3.4.1.4 Encourage skills attraction and development activities	EDO	Local skill base improved and gaps identified		General shortage of skilled and unskilled staff is being experienced across local government in the current economic climate.
	3.4.1.4 Support and assist proponents of new agricultural, horticultural and aquaculture enterprises		Number of referrals to various sources of assistance are made		Information on opportunity is provided by Community Development staff.
			Linkages and partnerships with government and industry are brokered		Information on opportunity is provided by Community Development staff.

Goal 4 Reliable and Relevant Services



Objective 4.1 Improve support for our community members					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
4.1.1 Ensure that public infrastructure and community assets are well maintained	4.1.1.1 Ensure pools are well maintained	DIS	Community satisfaction with public infrastructure and community assets	●	There has been frequent patronage of Council swimming pools during this season. Increased opening hours have been positively received.
	4.1.1.4 Provide high quality, multi-purpose library services that are responsive to community need	LM	Community satisfaction with library services	●	Community satisfaction survey has been undertaken with responses indicating high satisfaction levels with library services. Monitoring will continue.
	4.1.1.5 Maintain cemeteries to acceptable standards	MFTS	Cemeteries managed and maintained – community satisfaction	●	Few substantive complaints have been received.
4.1.2 Maintain parks, gardens, and open spaces	4.1.2.1 Maintain/Improve Parks to acceptable standards	MFTS	Acceptable standard of maintenance – community satisfaction	●	Few substantive complaints have been received.
	4.1.2.2 Complete buildings maintenance & Improvement	BRSM	All buildings maintained to an acceptable standard	●	No incidents have been recorded.

Objective 4.2 Plan for the service needs of our future community					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
4.2.1 Identify and plan for the long-term needs of our communities in terms of urban water supply and stormwater management	4.2.1.1 Ensure water assets are well maintained	MWS	Community satisfaction with urban water supply and stormwater management – program completed	●	Water supply is reliable and meets required standards.
	4.2.1.2 Maintain sewer assets		Sewer assets are maintained, and timely actions completed	●	Issues addressed promptly few breakages and blockages.
	4.2.2.1 Undertake repair of stormwater infrastructure	DIS	Repair of stormwater infrastructure undertaken in a timely manner	●	Upgrades to stormwater system proposed later this year.
4.2.2 Ensure that waste management services meet the needs of our communities into the future	4.2.2.1 Implement Waste Management Strategy	MFTS	Community satisfaction with Council's waste management services	●	Regular service provided - no complaints.
4.2.3 Improve access to affordable, timely and appropriate medical services	4.2.3.1 Continue to advocate for appropriate medical services	GM	Medical service available within Council resources	●	Medical Centre is operational. Monitoring is ongoing.
	4.2.3.2 Provide use of Council facilities for allied community health services		Council facilities utilised by allied community health services – community satisfaction	●	Centre is operational. Monitoring is ongoing.
4.2.4 Promote healthy, active ageing programs	4.2.4.1 Continue to work with key services within the shire to provide programs	DCCS	Community satisfaction with services and programs provided	●	Multi Service staff continue to work actively with aged and disabled groups.

Goal 5 Civic Leadership and Governance



Objective 5.1 Implement strategies to ensure that Council is well-governed					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
5.1.1 Develop and implement frameworks and policies to ensure that outcomes are transparent, consistent, and ethical	Governance is open and transparent – internal audit services	GM	Internal audit reviews	●	Testing of the Business Continuity Plan has been undertaken in February 2023. Internal audits have been undertaken for procurement, s355 committees and payroll processes since the introduction of the internal audit function.
5.1.2 Employ and develop highly capable and effective staff and leaders	5.1.2.1 Review recruitment & retention strategies	GM	Council and GM satisfaction	●	Essential staff employed.
	5.1.2.2 Continue to progress workforce planning	HR	Workforce succession plan complete	●	In progress.
	5.1.2.3 Progressively address training needs and upgrade Training Plans		Staff training plans developed	●	Training plans appropriate for operations have been developed. Additional plans for future staff development will be created over time.
	5.1.2.4 Provide training and mentorship to encourage staff to develop leadership skills		Increase in staff leadership qualities	●	Staff opportunities for training and mentoring are ongoing.
5.1.3 Ensure services and programs delivered are high-quality and high value, and meet our community's needs	5.1.3.1 Provide high quality customer service to the community	GM	Minimum complaints received	●	No substantive issues have been identified.
			Community Engagement Plan reviewed	●	Community Engagement Strategy reviewed and approved by Council.
	5.1.3.2 Promote genuine opportunities for people to participate in decisions that affect them		Community satisfaction with consultation on issues that affect them	●	Minimal substantive complaints have arisen. Council continues to explore processes to ensure effective community consultation.
	5.1.3.3 Encourage development of multipurpose community facilities to meet the needs of local communities		Community satisfaction with facilities provided	●	Ongoing through Community Development Unit.
5.1.4 Ensure that proper and effective management of risk is central to decision- making	5.1.4.1 Review and test Council's Business Continuity Plan	GM	BCP reviewed and tested annually	●	A review of the BCP was undertaken in February 2023.
	5.1.4.2 Review Council's Risk Management Plan and Risk Register and other relevant policies	HR	Internal audit review	●	Scheduled for future.
			Risk management policy / procedure /plan documents reviewed by Council	●	Ongoing process.
	5.1.4.3 Ensure compliance with legislation for WH&S		Reduction in number of workplace accidents/incidents, LTI	●	Continually addressed at operational and managerial level.
Objective 5.2 Manage our resources to ensure that Council is financially sustainable over the long term					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
5.2.1 Manage contracts and resources (financial, assets, technology, and people) efficiently and effectively to ensure the strongest possible financial position	5.2.1.1 Maintain long term financial viability	GM DIS DCCS	Overall satisfaction with Council's performance	●	Current financial status is detailed in Council reports monthly. Adequate funding is maintained.
	5.2.1.2 Continue to implement rolling plant replacement program	MFTS	Plant operated efficiently and/or replaced in accordance with Plant Replacement program	●	The current year is proceeding according to the approved budget schedule for 2023/24.
	5.2.1.3 Plant operated efficiently and economically	MFTS	Plant achieving operating goals	●	Plant operations are considered acceptable relative to the tasks involved. The charging regime of plant to jobs is currently being reviewed during 2023/24.
5.2.2 Secure financial stability through robust financial planning	5.2.2.1 Budget and reviews understood by Council	DCCS	Council satisfaction	●	Budgets and reviews are explained to Council. Continuous improvement in reporting methodology is explored & adopted.
	5.2.2.2 Variances explained in budget		Council satisfaction	●	All budget variances explained to Council satisfaction.
	5.2.2.3 Projects scoped and managed	GM	Project variances identified	●	Council is kept informed on any project variances through Council meeting reports & quarterly budget reviews.
	5.2.2.4 Reports to Council contain financial information if necessary		Information provided to support report	●	To date in2023/24 all Council reports with a financial impact contain the necessary financial information to enable the making of an informed decision.

Objective 5.3 Encourage our community to be engaged and informed, and active in sharing our shire's future					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
5.3.1 Actively engage with the community to ensure all have an equal opportunity to participate in shaping the future of our shire	5.3.1.1 Provide appropriate opportunities for all community members to participate in Council's community planning	GM	Community engagement rates with Council		Active Community Development Unit regularly interacts with community stakeholders to ensure opportunities are available for appropriate participation in community planning.
	5.3.1.4 Ensure compliance with legislation for Equal Employment Opportunity		Review EEO Policies and Plans		EEO Management Plan is under review for endorsement by Consultative Committee in November 2023. Will go to the Nov/Dec Council meeting for adoption.
			No EEO complaints unresolved		Council have received no EEO complaints during 22/23.
5.3.2 Provide the community with the knowledge, information, and access needed to contribute to decision-making	5.3.2.1 Continue to improve the quality of information provided via Council's website and social media	CDO	Community satisfaction with participation in decision making		There have been no substantive complaints regarding the existing level of information provided to the community.
	5.3.2.2 Continue to provide the Council Corner newsletter		Newsletter provided monthly		Council Corner is published and distributed within the community monthly.
	5.3.2.3 Provide grant opportunity information to the community		Number of grant enquiries received		Council grant programs have been well supported and are often oversubscribed. Opportunities are distributed th the community as they arise through various communication methods.
5.3.3 Where appropriate, share transparent and high-quality information with our community and other stakeholders	5.3.3.1 Ensure governance is open	GM	Council decision included in newsletter		Council decisions are included in the monthly newsletter.
			Council meetings open to public		Council meetings are open to the public.
	5.3.3.2 Continue to provide recordings of open Council meetings		Meeting recordings uploaded to Council's website		Recordings of meetings held during 2022/23 have been uploaded to Council's website.
	5.3.3.3 Comply with public consultation guidelines		Consultation process undertaken in accordance with guidelines and legislation		Council continues to comply with public consultation guidelines.

Objective 5.4 Implement appropriate culture, capability, and capacity to deliver on the priorities in Towards 2023					
CSP Strategy	Delivery Program Actions	Responsible Officer	Measures	Status	Outcomes
5.4.1 Adapt systems, resources, and capability to respond to technological and situational change	5.4.1.1 Adopt sound technological solutions	GM	Technological solutions are fit for purpose and cost effective		Council has implemented technological solutions that are relevant to the needs of our operations and fit for purpose within our budgetary constraints.
5.4.2 Ensure the capacity and capability (strategically, operationally, and technologically) to prioritise and achieve outcomes	5.4.2.1 Review workforce planning	HR	Workforce plans reviewed		Workforce Management Strategy reviewed in June 2023. Plans continuously monitored.
	5.4.2.2 Maintain computer systems and software	DCCS	Regular reviews undertaken and meetings with IT Committee staff held		Meetings with Council's IT contractor are held monthly for systems maintenance & capability improvement purposes.
	5.4.2.3 Train and upskill staff to current technology	GM	Staff training plans developed including technology		Council continues to adopt & adapt technology in this area.
5.4.3 Foster a values-driven workplace culture that is supportive, diverse, and inclusive, and embraces innovation, continuous improvement, and change Staff satisfaction with workplace culture	5.4.3.1 Continue to provide leadership training for managers and supervisors	GM HR	Training plans developed including leadership training		Training plans are formulated and adapted on a needs basis.
	5.4.3.2 Support EEO principles within recruitment and selection processes		EEO Management Plan action plans revised every five years		EEO Management Plan including action plans is under review for endorsement by Consultative Committee in November 2023. Will go to the Nov/Dec Council meeting for adoption.
	5.4.3.3 Encourage staff to promote innovative practices		Staff suggestions		Staff suggestions form part of day to day management & development opportunities.
			Consultative Committee processes		Consultative Committee operates with regular meetings & staff participation
	5.4.3.4 Continue to provide management awards to staff		Quarterly management awards are given for high performers		Awards are given quarterly and the intent has been accepted by staff.
5.4.4 Implement systems to continuously monitor performance and achievement of outcomes	5.4.4.1 Continue with employee exit interviews / questionnaire process	HR	Number of employee exit questionnaires and interviews completed		Staff exiting the organisation are provided with opportunities to submit feedback prior to departure.
	5.4.4.2 Improve performance review system	GM HR	Implement a performance review process that incorporates the capability framework, IP&R goals, and skills-based progression		Ongoing development.
	5.4.4.3 Introduce the Capability Framework to the employee lifecycle		Capability Framework embedded into Council processes		Ongoing development.

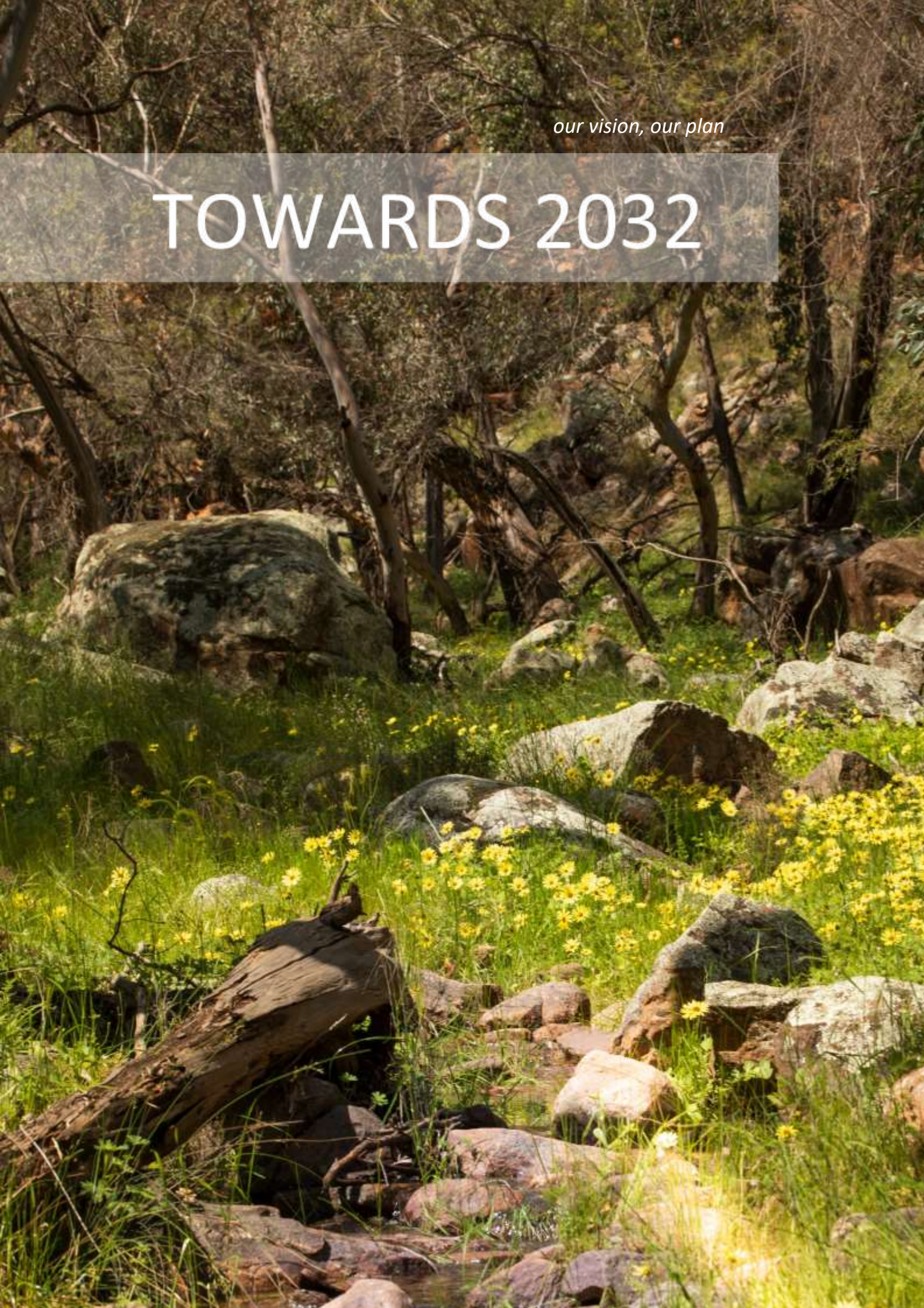


Appendix 2
Annual Financial Statements
2022/2023

Carrathool Shire Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2023





our vision, our plan

TOWARDS 2032

Carrathool Shire Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2023



Carrathool Shire Council

General Purpose Financial Statements

for the year ended 30 June 2023

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Overview

Carrathool Shire Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

9 - 11 Cobram Street
GOOLGOWI NSW 2652

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.carrathool.nsw.gov.au.

Carrathool Shire Council

General Purpose Financial Statements

for the year ended 30 June 2023

Understanding Council's Financial Statements

Introduction

Each year NSW local governments are required to present audited financial statements to their council and community.

What you will find in the Statements

The financial statements set out the financial performance, financial position and cash flows of Council for the financial year ended 30 June 2023.

The format of the financial statements is standard across all NSW Councils and complies with both the accounting and reporting requirements of Australian Accounting Standards and requirements as set down by the Office of Local Government.

About the Councillor/Management Statement

The financial statements must be certified by senior staff as 'presenting fairly' the Council's financial results for the year and are required to be adopted by Council – ensuring both responsibility for and ownership of the financial statements.

About the Primary Financial Statements

The financial statements incorporate five "primary" financial statements:

1. The Income Statement

Summarises Council's financial performance for the year, listing all income and expenses. This statement also displays Council's original adopted budget to provide a comparison between what was projected and what actually occurred.

2. The Statement of Comprehensive Income

Primarily records changes in the fair value of Council's Infrastructure, property, plant and equipment.

3. The Statement of Financial Position

A 30 June snapshot of Council's financial position indicating its assets, liabilities and "net wealth".

4. The Statement of Changes in Equity

The overall change for the year (in dollars) of Council's "net wealth".

5. The Statement of Cash Flows

Indicates where Council's cash came from and where it was spent. This statement also displays Council's original adopted budget to provide a comparison between what was projected and what actually occurred.

About the Notes to the Financial Statements

The Notes to the Financial Statements provide greater detail and additional information on the five primary financial statements.

About the Auditor's Reports

Council's financial statements are required to be audited by the NSW Audit Office.

In NSW the auditor provides 2 audit reports:

1. an opinion on whether the financial statements present fairly the Council's financial performance and position, and
2. their observations on the conduct of the audit, including commentary on the Council's financial performance and financial position.

Who uses the Financial Statements?

The financial statements are publicly available documents and must be presented at a Council meeting between seven days and five weeks after the date of the audit report.

The public can make submissions to Council up to seven days subsequent to the public presentation of the financial statements.

Council is required to forward an audited set of financial statements to the Office of Local Government.

Carrathool Shire Council

General Purpose Financial Statements

for the year ended 30 June 2023

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

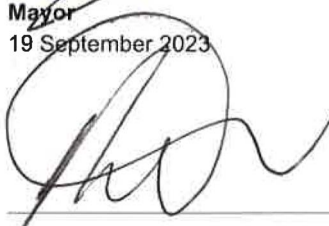
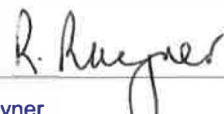
- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 19 September 2023.


Cr Darryl Jardine
Mayor
19 September 2023
Rick Warren
General Manager
19 September 2023
Cr Beverley Furner
Councillor
19 September 2023
Robert Rayner
Responsible Accounting Officer
19 September 2023

Carrathool Shire Council

Income Statement

for the year ended 30 June 2023

Original unaudited budget 2023	\$ '000	Notes	Actual 2023	Actual 2022
	Income from continuing operations			
5,817	Rates and annual charges	B2-1	5,766	5,651
3,362	User charges and fees	B2-2	4,366	4,241
597	Other revenues	B2-3	499	613
11,070	Grants and contributions provided for operating purposes	B2-4	21,267	20,510
5,683	Grants and contributions provided for capital purposes	B2-4	3,589	8,046
65	Interest and investment income	B2-5	1,121	150
105	Net gain from the disposal of assets	B4-1	174	170
26,699	Total income from continuing operations		36,782	39,381
	Expenses from continuing operations			
8,240	Employee benefits and on-costs	B3-1	8,378	7,804
5,091	Materials and services	B3-2	8,785	8,854
95	Borrowing costs	B3-3	195	542
5,851	Depreciation, amortisation and impairment of non-financial assets	B3-4	6,540	6,161
418	Other expenses	B3-5	419	332
19,695	Total expenses from continuing operations		24,317	23,693
7,004	Operating result from continuing operations		12,465	15,688
7,004	Net operating result for the year attributable to Council		12,465	15,688
1,321	Net operating result for the year before grants and contributions provided for capital purposes		8,876	7,642

The above Income Statement should be read in conjunction with the accompanying notes.

Carrathool Shire Council

Statement of Comprehensive Income

for the year ended 30 June 2023

\$ '000	Notes	2023	2022
Net operating result for the year – from Income Statement		12,465	15,688
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-6	20,139	11,398
Total items which will not be reclassified subsequently to the operating result		20,139	11,398
Total other comprehensive income for the year		20,139	11,398
Total comprehensive income for the year attributable to Council		32,604	27,086

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Carrathool Shire Council

Statement of Financial Position

as at 30 June 2023

\$ '000	Notes	2023	2022
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	23,115	20,433
Investments	C1-2	17,319	10,284
Receivables	C1-4	839	759
Inventories	C1-5	1,367	1,840
Total current assets		42,640	33,316
Non-current assets			
Receivables	C1-4	637	821
Infrastructure, property, plant and equipment (IPPE)	C1-6	273,446	249,724
Total non-current assets		274,083	250,545
Total assets		316,723	283,861
LIABILITIES			
Current liabilities			
Payables	C3-1	1,681	1,282
Contract liabilities	C3-2	1,815	2,073
Borrowings	C3-3	310	297
Employee benefit provisions	C3-4	2,678	2,390
Total current liabilities		6,484	6,042
Non-current liabilities			
Borrowings	C3-3	2,255	2,567
Employee benefit provisions	C3-4	176	155
Provisions	C3-5	2,822	2,715
Total non-current liabilities		5,253	5,437
Total liabilities		11,737	11,479
Net assets		304,986	272,382
EQUITY			
Accumulated surplus		155,320	142,855
IPPE revaluation reserve	C4-1	149,666	129,527
Council equity interest		304,986	272,382
Total equity		304,986	272,382

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Carrathool Shire Council

Statement of Changes in Equity

for the year ended 30 June 2023

\$ '000	Notes	2023			2022		
		Accumulated surplus	IPPE revaluation reserve	Total equity	Accumulated surplus	IPPE revaluation reserve	Total equity
Opening balance at 1 July		142,855	129,527	272,382	127,167	118,129	245,296
Net operating result for the year		12,465	–	12,465	15,688	–	15,688
Other comprehensive income							
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-6	–	20,139	20,139	–	11,398	11,398
Other comprehensive income		–	20,139	20,139	–	11,398	11,398
Total comprehensive income		12,465	20,139	32,604	15,688	11,398	27,086
Closing balance at 30 June		155,320	149,666	304,986	142,855	129,527	272,382

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Carrathool Shire Council

Statement of Cash Flows

for the year ended 30 June 2023

Original unaudited budget 2023	\$ '000	Notes	Actual 2023	Actual 2022
Cash flows from operating activities				
Receipts:				
5,817	Rates and annual charges		5,729	5,672
3,362	User charges and fees		4,661	4,612
65	Interest received		949	113
16,753	Grants and contributions		24,983	25,932
597	Other		2,043	2,885
Payments:				
(8,240)	Payments to employees		(8,048)	(7,718)
(5,091)	Payments for materials and services		(9,680)	(12,543)
(95)	Borrowing costs		(195)	(106)
—	Bonds, deposits and retentions refunded		(2)	(6)
(418)	Other		(475)	(206)
12,750	Net cash flows from operating activities	G1-1	19,965	18,635
Cash flows from investing activities				
Receipts:				
—	Redemption of term deposits		—	4,059
450	Proceeds from sale of IPPE		1,418	1,043
Payments:				
—	Acquisition of term deposits		(7,035)	—
(12,742)	Payments for IPPE		(11,367)	(15,479)
(12,292)	Net cash flows from investing activities		(16,984)	(10,377)
Cash flows from financing activities				
Payments:				
(297)	Repayment of borrowings		(299)	(289)
(297)	Net cash flows from financing activities		(299)	(289)
161	Net change in cash and cash equivalents		2,682	7,969
20,433	Cash and cash equivalents at beginning of year		20,433	12,464
20,594	Cash and cash equivalents at end of year	C1-1	23,115	20,433
10,284	plus: Investments on hand at end of year	C1-2	17,319	10,284
30,878	Total cash, cash equivalents and investments		40,434	30,717

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Carrathool Shire Council

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Carrathool Shire Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 19 September 2023. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulation 2021 (Regulation)*, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note C1-6
- (ii) estimated gravel pit remediation provisions – refer Note C3-5
- (iii) employee benefit provisions – refer Note C3-4.

A1-1 Basis of preparation (continued)

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4.
- ii. Determination of whether performance obligations are sufficiently specific and whether the contract is within the scope of AASB 15 *Revenue from Contracts with Customers* and / or AASB 1058 *Income of Not-for-Profit Entities* – refer to Notes B2-2 – B2-4.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the *Local Government Act 1993*, all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- general purpose operations
- water services
- sewerage services

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993*, a separate and distinct Trust Fund is maintained to account for all money and property received by the Council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

A separate statement of monies held in the Trust Fund is available for inspection at the council office by any person free of charge.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

Volunteer services

Council receives some volunteer services in the area of community services. These volunteer services are not recognised within the financial statements as they are not considered to be material.

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2023 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

During the year Council adopted all accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective for the first time at 30 June 2023.

A1-1 Basis of preparation (continued)

No new standard had a significant impact on Council's reported financial position, financial performance and/or associated financial statement disclosures.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

\$ '000	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
Functions or activities										
Governance	10	10	541	570	(531)	(560)	–	–	–	–
Administration	2,425	425	3,388	3,115	(963)	(2,690)	2,192	1,289	44,112	33,235
Public Order and Safety	156	238	582	516	(426)	(278)	150	234	1,379	1,283
Health	286	326	467	479	(181)	(153)	–	–	1,302	1,354
Environment	81	53	321	383	(240)	(330)	51	49	7,014	5,300
Community Services and Education	900	713	523	497	377	216	749	714	–	226
Housing and Community Amenities	684	702	1,164	1,155	(480)	(453)	31	56	5,457	5,422
Water Supplies	2,712	2,693	2,539	2,475	173	218	234	277	39,513	37,125
Sewerage Services	849	586	323	327	526	259	214	5	7,022	6,440
Recreation and Culture	312	365	1,894	1,884	(1,582)	(1,519)	249	–	14,290	13,869
Mining, Manufacturing and Construction	–	–	65	270	(65)	(270)	–	–	1,139	1,561
Transport & Communication	12,673	19,742	11,198	11,176	1,475	8,566	7,952	18,896	182,863	168,354
Economic Affairs	1,149	929	1,312	845	(163)	84	–	107	12,632	9,692
General Purpose Income	14,545	12,598	–	–	14,545	12,598	8,801	6,929	–	–
Other	–	–	–	–	–	–	4,233	–	–	–
Total functions and activities	36,782	39,380	24,317	23,692	12,465	15,688	24,856	28,556	316,723	283,861

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policy making committees, public disclosures (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support (payroll, creditors, debtors, rates and finance), and other support services, engineering administration, and any Council policy compliance.

Public Order and Safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes food inspections and health administration.

Environment

Includes noxious plants and insect/vermin control; other environmental protection, solid waste management, including domestic waste, other waste management; other sanitation and garbage, street cleaning, drainage and storm water management.

Community Services and Education

Includes youth services and education, aged and disabled persons services, children's services including preschool and family day care. Social protection and aboriginal services.

Housing and Community Amenities

Includes public cemeteries, public conveniences, street lighting, town planning and other community amenities. It also includes housing development and accommodation.

Water Supplies

Raw and potable water supplies to townships, villages and stock and domestic supplies to some rural areas.

Sewerage Services

Sewerage services provided to town and villages.

Recreation and Culture

Includes public libraries, museums, art galleries, community centres and halls. Sporting facilities and grounds, public parks and gardens, swimming pools, lakes and other sporting, recreational and cultural services.

Mining, Manufacturing and Construction

Includes building control, quarries and gravel pits, and mineral resources.

Transport & Communication

Urban, rural roads including local, regional and sealed and unsealed roads. Bridges, footpaths, parking areas and aerodromes.

B1-2 Components of functions or activities (continued)

Economic Affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial and residential development promotion; sale yards and markets; commercial nurseries and other business undertakings.

General Purpose Income

Income generated from Financial Assistance Grants, general rates and interest income.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	2023	2022
Ordinary rates		
Residential	379	375
Farmland	3,018	3,011
Business	228	226
Less: pensioner rebates	(25)	(26)
Rates levied to ratepayers	3,600	3,586
Pensioner rate subsidies received	14	14
Total ordinary rates	3,614	3,600
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	358	358
Water supply services	1,088	1,052
Sewerage services	635	575
Waste management services (non-domestic)	83	80
Less: pensioner rebates (mandatory)	(29)	(31)
Annual charges levied	2,135	2,034
Pensioner annual charges subsidies received:		
– Water	7	7
– Sewerage	5	5
– Domestic waste management	5	5
Total annual charges	2,152	2,051
Total rates and annual charges	5,766	5,651

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	Timing	2023	2022
Specific user charges (per s502 - specific 'actual use' charges)			
Water supply services	2	1,328	1,326
Total specific user charges		1,328	1,326
Other user charges and fees			
(i) Fees and charges – statutory and regulatory functions (per s608)			
Planning and building regulation	2	34	21
Private works – section 67	2	498	144
Registration fees	2	6	5
Section 10.7 certificates (EP&A Act)	2	17	15
Section 603 certificates	2	8	9
Tapping fees	2	3	2
Town planning	2	73	26
Total fees and charges – statutory/regulatory		639	222
(ii) Fees and charges – other (incl. general user charges (per s608))			
Caravan park	2	584	576
Cemeteries	2	21	17
Rent	2	52	56
Leaseback fees – Council vehicles	2	79	77
RMS charges (state roads not controlled by Council)	2	1,487	1,836
Sundry sales	2	–	4
Swimming centres	2	17	15
Admission and service fees	2	110	63
Community transport and other HACC services	2	14	15
Library	2	7	5
Sundry – risk management	2	24	24
Waste disposal tipping fees (sales waste materials)	2	4	5
Total fees and charges – other		2,399	2,693
Total other user charges and fees		3,038	2,915
Total user charges and fees		4,366	4,241
Timing of revenue recognition for user charges and fees			
User charges and fees recognised over time (1)		–	–
User charges and fees recognised at a point in time (2)		4,366	4,241
Total user charges and fees		4,366	4,241

Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

\$ '000	Timing	2023	2022
Rental income – other council properties	2	43	54
Diesel rebate	2	123	173
Sales – general (GWCC)	2	29	31
Other	2	5	36
Medical centre	2	266	309
Caravan Park		30	–
Pressure sewer connections	2	3	10
Total other revenue		499	613

Timing of revenue recognition for other revenue

Other revenue recognised over time (1)	–	–
Other revenue recognised at a point in time (2)	499	613
Total other revenue	499	613

Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Timing	Operating 2023	Operating 2022	Capital 2023	Capital 2022
General purpose grants and non-developer contributions (untied)					
General purpose (untied)					
Current year allocation					
Financial assistance – general component	2	1,234	2,211	–	–
Financial assistance – local roads component	2	749	1,286	–	–
Payment in advance - future year allocation					
Financial assistance – general component	2	4,949	3,395	–	–
Financial assistance – local roads component	2	2,925	1,984	–	–
Amount recognised as income during current year		9,857	8,876	–	–
Special purpose grants and non-developer contributions (tied)					
Cash contributions					
Previously specific grants:					
Pensioners' rates subsidies:					
Floodplain management	2	9	6	64	–
Library – per capita	2	67	67	–	–
Noxious weeds	1	67	42	–	–
NSW rural fire services	1	146	233	4	–
Recreation and culture	1	422	286	141	92
Storm/flood damage	2	1,501	7,256	–	–
Community care (HACC and other services)	1	689	666	–	–
Planning Portal	2	–	26	–	–
Street lighting	2	26	25	–	–
Water	2	146	–	–	–
Transport (roads to recovery)	2	1,460	1,457	–	–
Transport (other roads and bridges funding)	1	5,155	–	901	6,436
Other specific grants	1	–	49	–	105
Previously contributions:					
Community services	2	–	1	–	–
Transport for NSW contributions (regional roads, block grant)	2	1,469	1,439	377	362
Local Roads & Community Infrastructure	1	–	–	2,102	1,051
Total special purpose grants and non-developer contributions – cash		11,157	11,553	3,589	8,046
Total special purpose grants and non-developer contributions (tied)		11,157	11,553	3,589	8,046
Total grants and non-developer contributions		21,014	20,429	3,589	8,046
Comprising:					
– Commonwealth funding		11,613	10,626	2,102	1,051
– State funding		9,401	9,803	1,487	6,914
– Other funding		–	–	–	81
		21,014	20,429	3,589	8,046

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Timing	Operating 2023	Operating 2022	Capital 2023	Capital 2022
Developer contributions: (s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
Cash contributions					
S 7.12 – fixed development consent levies	2	253	81	–	–
Total developer contributions – cash		253	81	–	–
Total developer contributions		253	81	–	–
Total contributions		253	81	–	–
Total grants and contributions		21,267	20,510	3,589	8,046
Timing of revenue recognition for grants and contributions					
Grants and contributions recognised over time (1)		5,801	4,172	3,481	–
Grants and contributions recognised at a point in time (2)		15,466	16,338	108	8,046
Total grants and contributions		21,267	20,510	3,589	8,046

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2023	Operating 2022	Capital 2023	Capital 2022
Unspent grants and contributions				
Unspent funds at 1 July	258	127	1,827	4,537
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	5,190	246	859	1,827
Less: Funds received in prior year but revenue recognised and funds spent in current year	(246)	(115)	(1,827)	(4,537)
Unspent funds at 30 June	5,202	258	859	1,827

Major unspent grant details are:
Regional & Local Roads Repair Program \$3,319k
OLG Recovery Grant \$1,000k
Stronger Country Communities Round 5 \$567k

Contributions

Unspent funds at 1 July	456	375	–	–
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	253	81	–	–
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	–	–	–
Unspent contributions at 30 June	709	456	–	–

Developer Contributions \$456k

Accounting policy

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include events and various infrastructure projects. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

B2-4 Grants and contributions (continued)

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2023	2022
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	42	44
– Cash and investments	1,079	106
Total interest and investment income (losses)	1,121	150
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	20	31
General Council cash and investments	1,079	106
Restricted investments/funds – external:		
Water fund operations	17	10
Sewerage fund operations	5	3
Total interest and investment income	1,121	150

Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned.

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2023	2022
Salaries and wages	6,038	6,005
Employee termination costs	12	102
Travel expenses	69	69
Employee leave entitlements (ELE)	1,487	1,226
Superannuation	648	706
Workers' compensation insurance	151	193
Fringe benefit tax (FBT)	51	44
Training costs (other than salaries and wages)	103	68
Protective clothing	39	34
Other	11	9
Total employee costs	8,609	8,456
Less: capitalised costs	(231)	(652)
Total employee costs expensed	8,378	7,804
Number of 'full-time equivalent' employees (FTE) at year end	94	92

Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2023	2022
Raw materials and consumables		1,017	1,025
Audit Fees	F2-1	35	51
Previously other expenses:			
Councillor and Mayoral fees and associated expenses	F1-2	166	152
Advertising		50	46
Bank charges		19	18
Computer software charges		91	72
Election expenses		–	23
Electricity and heating		514	461
Fire control expenses		197	145
Office expenses (including computer expenses)		217	254
Postage		12	13
Printing and stationery		19	19
Repairs and maintenance		5,380	5,991
Street lighting		48	53
Subscriptions and publications		17	14
Telephone and communications		40	45
Tourism expenses (excluding employee costs)		78	71
Valuation fees		17	16
Insurance (excluding workers compensation)		328	295
Scholarship bursary		8	6
Private Works		525	79
Other		3	3
Legal expenses:			
– Legal expenses: general		4	2
Total materials and services		8,785	8,854
Total materials and services		8,785	8,854

Accounting policy

Expenses are recorded on an accruals basis as the Council receives the goods or services.

B3-3 Borrowing costs

\$ '000	Notes	2023	2022
(i) Interest bearing liability costs			
Interest on loans		88	105
Total interest bearing liability costs		88	105
Total interest bearing liability costs expensed		88	105
– Remediation liabilities	C3-5	107	437
Total other borrowing costs		107	437
Total borrowing costs expensed		195	542

Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

B3-4 Depreciation, amortisation and impairment of non-financial assets

\$ '000	Notes	2023	2022
Depreciation and amortisation			
Plant and equipment		879	898
Office equipment		81	65
Land improvements (depreciable)		39	37
Infrastructure:	C1-6		
– Buildings – non-specialised		551	184
– Buildings – specialised		28	33
– Roads		2,968	2,926
– Bridges		209	209
– Footpaths		60	60
– Stormwater drainage		35	35
– Water supply network		997	980
– Sewerage network		114	128
– Swimming pools		67	67
– Other open space/recreational assets		184	171
– Other infrastructure		10	40
Right of use assets	C2-1	–	–
Other assets:			
– Library books		9	10
– Other		76	85
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C1-6	17	17
– Quarry assets	C1-6	216	216
Total depreciation and amortisation costs		6,540	6,161
Total depreciation, amortisation and impairment for non-financial assets		6,540	6,161

Accounting policy

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

B3-5 Other expenses

\$ '000	2023	2022
Other		
Contributions/levies to other levels of government		
– SES Emergency Management Levy	7	–
– NSW fire brigade levy	21	19
– NSW rural fire service levy	296	221
– Regional library	23	23
– Shires association; RAMJO and other organisations	39	46
Donations, contributions and assistance to other organisations (Section 356)	33	23
Total other expenses	419	332

Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses**B4-1 Gain or loss from the disposal, replacement and de-recognition of assets**

\$ '000	Notes	2023	2022
Gain (or loss) on disposal of plant and equipment	C1-6		
Proceeds from disposal – plant and equipment		1,416	1,043
Less: carrying amount of plant and equipment assets sold/written off		(1,180)	(831)
Gain (or loss) on disposal		236	212
Gain (or loss) on disposal of infrastructure	C1-6		
Proceeds from disposal – infrastructure		2	–
Less: carrying amount of infrastructure assets sold/written off		(64)	(42)
Gain (or loss) on disposal		(62)	(42)
Net gain (or loss) from disposal of assets		174	170

Accounting policy

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 21 June 2022 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2023 Budget	2023 Actual	2023 ----- Variance -----	
Revenues				
Rates and annual charges	5,817	5,766	(51)	(1)% U
User charges and fees	3,362	4,366	1,004	30% F
Private works income was substantially higher than budget figures (\$300k). Council agreed to undertake additional RMS Special Works during 2022/23.				
Other revenues	597	499	(98)	(16)% U
Fuel tax rebate was substantially reduced due to the Commonwealth government reduction to the fuel excise.				
Operating grants and contributions	11,070	21,267	10,197	92% F
Council received additional grant funding not included in the original budget during 2022/23. These included grants under the following programs - FLR Pothole Repair Program, Regional & Rural Road Repair Program, Emergency Flood Damage Works and OLG Recovery Grant Program.				
Capital grants and contributions	5,683	3,589	(2,094)	(37)% U
Fixing Local Roads program acquittals budgeted in 2022/23 but completed in 2023/24.				
Interest and investment revenue	65	1,121	1,056	1,625% F
Rapid and sustained interest rate increases were not forecast at the time of budget preparation. Interest rates on investments increased by an average 4% over the course of 2022/23.				
Net gains from disposal of assets	105	174	69	66% F
Due to continued plant shortages nationwide, Council was able to achieve higher returns than budgeted on plant disposals during 2022/23.				
Expenses				
Employee benefits and on-costs	8,240	8,378	(138)	(2)% U
Materials and services	5,091	8,785	(3,694)	(73)% U
Increased grant funding of approximately \$7.0m received during 2022/23 resulted in additional unbudgeted expenditure for materials and services.				
Borrowing costs	95	195	(100)	(105)% U
Council has not previously included tip and quarry remediation expenses in the annual financial statements. At the time of their introduction in 2021/22, the original budget for 2022/23 had been finalised.				
Depreciation, amortisation and impairment of non-financial assets	5,851	6,540	(689)	(12)% U
Tip and quarry asset depreciation expenditure was included for the first time during 2022/23. The impact of annual asset				

B5-1 Material budget variations (continued)

\$ '000	2023 Budget	2023 Actual	2023 ----- Variance -----	
revaluation by indexation is difficult to forecast at the time of preparing original budgets.				
Other expenses	418	419	(1)	0% U

B5-1 Material budget variations (continued)

\$ '000	2023 Budget	2023 Actual	2023 ----- Variance -----	
Statement of cash flows				
Cash flows from operating activities	12,750	19,965	7,215	57% F
Council received an estimated 100% advance payment for Financial Assistance Grants and this amount was not fully budgeted. Additional unbudgeted funding included \$1m for emergency flood damage works, approximately \$900k under the Pothole Repair program and approximately \$4.8m under the Regional and Local Road Repair program.				
Cash flows from investing activities	(12,292)	(16,984)	(4,692)	38% U
Council received increase grants during 2022/23. More cash was available to invest at the higher rates of interest available during the year.				
Cash flows from financing activities	(297)	(299)	(2)	1% U

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2023	2022
Cash assets		
Cash on hand and at bank	544	161
Cash equivalent assets		
– Deposits at call	2,575	2,585
– Short-term deposits	19,996	17,687
Total cash and cash equivalents	23,115	20,433

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	23,115	20,433
Balance as per the Statement of Cash Flows	23,115	20,433

Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

C1-2 Financial investments

\$ '000	2023	2023	2022	2022
	Current	Non-current	Current	Non-current
Debt securities at amortised cost				
Long term deposits	17,319	–	10,284	–
Total	17,319	–	10,284	–
Total financial investments	17,319	–	10,284	–
Total cash assets, cash equivalents and investments	40,434	–	30,717	–

Accounting policy

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

\$ '000	2023	2022
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	40,434	30,717
Less: Externally restricted cash, cash equivalents and investments	(11,112)	(7,349)
Cash, cash equivalents and investments not subject to external restrictions	29,322	23,368

External restrictions

External restrictions – included in liabilities

External restrictions included in cash, cash equivalents and investments above comprise:

Specific purpose unexpended loans – general	250	250
Specific purpose unexpended grants – general fund	1,827	2,085
Security deposits	49	25
External restrictions – included in liabilities	2,126	2,360

External restrictions – other

External restrictions included in cash, cash equivalents and investments above comprise:

Developer contributions – general	709	456
Specific purpose unexpended grants (recognised as revenue) – general fund	4,234	–
Water fund	2,739	3,239
Sewer fund	1,304	1,294
External restrictions – other	8,986	4,989
Total external restrictions	11,112	7,349

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

\$ '000	2023	2022
(b) Internal allocations		
Cash, cash equivalents and investments not subject to external restrictions	29,322	23,368
Less: Internally restricted cash, cash equivalents and investments	(21,326)	(16,947)
Unrestricted and unallocated cash, cash equivalents and investments	7,996	6,421

Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	840	1,150
Employees leave entitlement	1,592	1,592
Buildings	402	402
Carry over works	1,285	574
Council dwellings	1	1
Gravel pits reserve	1,834	1,834
Hillston caravan park	687	639
Cordatas Building	500	–
Local roads	4,724	3,790
Office furniture	15	15
Road warranty fund	350	350
Staff training	25	25

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

\$ '000	2023	2022
Tips remediation	174	174
Tourism	41	41
Hillston Community Hall	97	96
FAGS in Advance	7,874	5,379
Tips Capital Reserve	19	19
Grant Reserve	150	150
Development reserve	716	716
Total internal allocations	21,326	16,947

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

\$ '000	2023	2022
(c) Unrestricted and unallocated		
Unrestricted and unallocated cash, cash equivalents and investments	7,996	6,421

C1-4 Receivables

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Rates and annual charges	238	418	215	402
Interest and extra charges	42	42	44	30
User charges and fees	83	87	97	97
Accrued revenues				
– Interest on investments	205	–	41	–
– Other income accruals	51	–	56	–
Government grants and subsidies	11	48	137	111
Net GST receivable	76	–	151	–
Hillston sewer pressure system	–	9	–	20
Kerb & Guttering	–	2	–	3
Other debtors – various	228	31	112	158
Workers compensation claims	7	–	5	–
Total	941	637	858	821
Less: provision for impairment				
Rates and annual charges	(66)	–	(61)	–
Interest and extra charges	(17)	–	(15)	–
User charges and fees	(17)	–	(19)	–
Other debtors	(2)	–	(4)	–
Total provision for impairment – receivables	(102)	–	(99)	–
Total net receivables	839	637	759	821
Externally restricted receivables				
Water supply				
– Rates and availability charges	124	231	142	266
– Other	62	116	55	155
Sewerage services				
– Rates and availability charges	34	64	43	81
– Other	5	8	17	47
Total external restrictions	225	419	257	549
Unrestricted receivables	614	218	502	272
Total net receivables	839	637	759	821

\$ '000	2023	2022
Movement in provision for impairment of receivables		
Balance at the beginning of the year	99	99
+ new provisions recognised during the year	2	–
Balance at the end of the year	101	99

C1-4 Receivables (continued)

Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When estimating ECL, Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

When considering the ECL for rates and annual charges debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold.

Credit losses are measured at the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

Council writes off a receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

C1-5 Inventories

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
(i) Inventories at cost				
Stores and materials	1,367	–	1,840	–
Total inventories at cost	1,367	–	1,840	–
Total inventories	1,367	–	1,840	–

Externally restricted assets

There are no restrictions applicable to the above assets.

(i) Other disclosures

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
(a) Real estate for resale				
Total real estate for resale	–	–	–	–

(Valued at the lower of cost and net realisable value)

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

C1-6 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2022			Asset movements during the reporting period							At 30 June 2023		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000													
Capital work in progress	11,135	–	11,135	806	1,279	–	–	(9,618)	–	–	3,602	–	3,602
Plant and equipment	14,638	(6,687)	7,951	2,373	79	(1,180)	(879)	–	2	–	15,315	(6,968)	8,347
Office equipment	1,839	(1,596)	243	11	8	–	(81)	–	–	–	1,856	(1,676)	180
Furniture and fittings	448	(436)	12	11	11	–	–	–	–	–	469	(435)	34
Land:													
– Operational land	2,469	–	2,469	–	–	–	–	–	–	–	2,469	–	2,469
– Community land	1,684	–	1,684	–	–	–	–	–	–	–	1,684	–	1,684
Land improvements – depreciable	3,296	(748)	2,548	–	–	–	(39)	–	–	211	3,573	(853)	2,720
Infrastructure:													
– Buildings – non-specialised	34,928	(11,921)	23,007	114	62	–	(551)	47	13	1,966	38,258	(13,599)	24,659
– Buildings – specialised	2,574	(616)	1,958	75	–	–	(28)	71	–	169	2,945	(701)	2,244
– Other structures	31	(1)	30	–	13	–	–	–	–	36	92	(14)	78
– Roads	154,045	(34,286)	119,759	2,509	1,803	–	(2,968)	7,088	–	9,720	178,252	(40,342)	137,910
– Bridges	27,926	(4,672)	23,254	7	–	–	(209)	2,258	–	1,705	32,258	(5,243)	27,015
– Footpaths	2,372	(414)	1,958	459	–	–	(60)	–	–	93	2,947	(496)	2,451
– Stormwater drainage	3,588	(1,168)	2,420	20	–	–	(35)	102	–	270	4,115	(1,339)	2,776
– Water supply network	69,727	(36,557)	33,170	1,194	–	(57)	(997)	41	–	2,481	76,162	(40,329)	35,833
– Sewerage network	8,023	(3,098)	4,925	395	–	(7)	(114)	11	–	371	9,032	(3,451)	5,581
– Swimming pools	4,442	(920)	3,522	13	–	–	(67)	–	–	302	4,843	(1,073)	3,770
– Other open space/recreational assets	5,126	(1,780)	3,346	62	46	–	(184)	–	(13)	1,078	5,687	(1,351)	4,336
– Other infrastructure	2,007	(201)	1,806	–	–	–	(10)	–	–	122	2,143	(224)	1,919
Other assets:													
– Library books	272	(207)	65	–	14	–	(9)	–	–	–	287	(216)	71
– Other	4,268	(1,170)	3,098	–	–	–	(76)	–	–	1,615	5,985	(1,348)	4,637
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	309	(17)	292	–	–	–	(17)	–	–	–	309	(35)	274
– Quarry assets	1,969	(897)	1,072	–	–	–	(216)	–	–	–	1,969	(1,113)	856
Total infrastructure, property, plant and equipment	357,116	(107,392)	249,724	8,049	3,315	(1,244)	(6,540)	–	2	20,139	394,252	(120,806)	273,446

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-6 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2021			Asset movements during the reporting period							At 30 June 2022		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000													
Capital work in progress	2,215	–	2,215	2,203	7,192	–	–	(475)	–	–	11,135	–	11,135
Plant and equipment	14,141	(6,229)	7,912	1,768	–	(831)	(898)	–	–	–	14,638	(6,687)	7,951
Office equipment	1,754	(1,532)	222	64	–	–	(65)	22	–	–	1,839	(1,596)	243
Furniture and fittings	448	(436)	12	–	–	–	–	–	–	–	448	(436)	12
Land:													
– Operational land	1,376	–	1,376	–	–	–	–	–	–	1,092	2,469	–	2,469
– Community land	1,911	–	1,911	–	–	–	–	–	(227)	–	1,684	–	1,684
Land improvements – depreciable	3,128	(721)	2,407	93	4	–	(37)	–	–	81	3,296	(748)	2,548
Infrastructure:													
– Buildings – non-specialised	27,640	(15,301)	12,339	423	25	–	(184)	182	–	10,222	34,928	(11,921)	23,007
– Buildings – specialised	2,108	(1,101)	1,007	–	44	–	(33)	–	–	940	2,574	(616)	1,958
– Other structures	31	(1)	30	–	–	–	–	–	–	–	31	(1)	30
– Roads	151,759	(31,394)	120,365	463	1,823	(42)	(2,926)	76	–	–	154,045	(34,286)	119,759
– Bridges	27,926	(4,463)	23,463	–	–	–	(209)	–	–	–	27,926	(4,672)	23,254
– Footpaths	2,355	(355)	2,000	–	18	–	(60)	–	–	–	2,372	(414)	1,958
– Stormwater drainage	3,587	(1,133)	2,454	–	–	–	(35)	–	–	–	3,588	(1,168)	2,420
– Water supply network	67,139	(29,810)	37,329	780	23	–	(980)	187	(4,169)	–	69,727	(36,557)	33,170
– Sewerage network	7,172	(3,427)	3,745	49	–	–	(128)	–	–	1,259	8,023	(3,098)	4,925
– Swimming pools	4,098	(1,263)	2,835	–	–	–	(67)	–	–	753	4,442	(920)	3,522
– Other open space/recreational assets	4,826	(1,608)	3,218	232	60	–	(171)	8	–	–	5,126	(1,780)	3,346
– Other infrastructure	1,860	(266)	1,594	–	–	–	(40)	–	–	252	2,007	(201)	1,806
Other assets:													
– Library books	259	(197)	62	14	–	–	(10)	–	–	–	272	(207)	65
– Other	4,423	(2,535)	1,888	96	4	–	(85)	–	–	1,195	4,268	(1,170)	3,098
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	309	–	309	–	–	–	(17)	–	–	–	309	(17)	292
– Quarry assets	1,969	(681)	1,288	–	–	–	(216)	–	–	–	1,969	(897)	1,072
Total infrastructure, property, plant and equipment	332,434	(102,453)	229,981	6,185	9,193	(873)	(6,161)	–	(4,396)	15,794	357,116	(107,392)	249,724

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-6 Infrastructure, property, plant and equipment (continued)

Accounting policy

Initial recognition of infrastructure, property, plant and equipment (IPPE)

IPPE is measured initially at cost. Cost includes the fair value of the consideration given to acquire the asset (net of discounts and rebates) and any directly attributable cost of bringing the asset to working condition for its intended use (inclusive of import duties and taxes).

When infrastructure, property, plant and equipment is acquired by Council at significantly below fair value, the assets are initially recognised at their fair value at acquisition date.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

Useful lives of IPPE

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives (in years) as follows:

	Useful lives
Plant, equipment, furniture and fittings	4 to 20
Land	Infinite
Land improvements	18 to 90
Infrastructure:	
– Buildings and other structures	5 to 145
– Roads, bridges and footpaths	8 to 200
– Bulk earthworks	Infinite
– Stormwater drainage	50 to 100
– Water supply network	10 to 160
– Sewerage network	10 to 100
– Open space / recreational assets	10 to 100
– Other infrastructure	25 to 100
Other assets	20 to 145
Tip and quarry assets	10 to 50

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Revaluation model

Infrastructure, property, plant and equipment are held at fair value. Comprehensive valuations are performed at least every 5 years, however the carrying amount of assets is assessed by Council at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by Department of Planning, Industry and Environment – Water.

Increases in the carrying amounts arising on revaluation are credited to the IPPE revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss. Decreases that reverse previous increases of assets in the same class are first charged against IPPE revaluation reserve to the extent of the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008. Land under roads acquired after 1 July 2008 is recognised in accordance with the IPPE accounting policy.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

C1-6 Infrastructure, property, plant and equipment (continued)

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Council recognises Rural Fire Service buildings that are on Council land or Council controlled Crown land.

Council does not recognise Rural Fire Service plant and equipment that is not in its control when applying the SAC 4 definition of control of an asset - "the capacity of the entity to benefit from the asset in the pursuit of the entity's objectives and to deny or regulate the access of others to that benefit".

Externally restricted infrastructure, property, plant and equipment

\$ '000	as at 30/06/23			as at 30/06/22		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply						
WIP	410	—	410	308	—	308
Plant and equipment	173	171	2	173	171	2
Infrastructure	76,162	40,329	35,833	69,727	36,557	33,170
Total water supply	76,745	40,500	36,245	70,208	36,728	33,480
Sewerage services						
WIP	—	—	—	11	—	11
Plant and equipment	70	44	26	70	38	32
Infrastructure	9,032	3,451	5,581	8,023	3,098	4,925
Total sewerage services	9,102	3,495	5,607	8,104	3,136	4,968
Total restricted infrastructure, property, plant and equipment	85,847	43,995	41,852	78,312	39,864	38,448

C2 Leasing activities

C2-1 Council as a lessee

Leases at significantly below market value – concessionary / peppercorn leases

Council has a number of leases at significantly below market for land and buildings which are used for:

- child care centre
- community meetings
- communication

The leases are generally between 1 and 5 years and require payments of a maximum amount of \$1,000 per year. The use of the right-to-use asset is restricted by the lessors to specified community services which Council must provide, these services are detailed in the leases.

Council does not believe that any of the leases in place are individually material from a statement of financial position or performance perspective.

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C3 Liabilities of Council

C3-1 Payables

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Goods and services – operating expenditure	547	–	29	–
Accrued expenses:				
– Borrowings	4	–	4	–
– Salaries and wages	155	–	112	–
– Other expenditure accruals	473	–	412	–
Security bonds, deposits and retentions	31	–	33	–
Security deposits	26	–	25	–
Suspense Accounts	30	–	59	–
Home Care Packages	118	–	307	–
Government departments and agencies	117	–	117	–
Prepaid rates	175	–	178	–
Other	5	–	6	–
Total payables	1,681	–	1,282	–

Payables relating to restricted assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Externally restricted assets				
Water	1	–	–	–
Sewer	1	–	1	–
Payables relating to externally restricted assets	2	–	1	–
Total payables relating to restricted assets	2	–	1	–
Total payables relating to unrestricted assets	1,679	–	1,281	–
Total payables	1,681	–	1,282	–

Current payables not anticipated to be settled within the next twelve months

\$ '000	2023	2022
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Other liabilities: (Security Deposits, Retentions)	57	58
Total payables	57	58

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

\$ '000	Notes	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	1,815	–	2,073	–
Total grants received in advance		1,815	–	2,073	–
Total contract liabilities		1,815	–	2,073	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

Contract liabilities relating to restricted assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Externally restricted assets				
Water	16	–	178	–
Sewer	20	–	230	–
Unspent grants held as contract liabilities (excl. Water & Sewer)	1,791	–	1,677	–
Contract liabilities relating to externally restricted assets	1,827	–	2,085	–
Total contract liabilities relating to restricted assets	1,827	–	2,085	–
Total contract liabilities relating to unrestricted assets	(12)	–	(12)	–
Total contract liabilities	1,815	–	2,073	–

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2023	2022
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	1,887	95
Operating grants (received prior to performance obligation being satisfied)	186	4,557
Total revenue recognised that was included in the contract liability balance at the beginning of the period	2,073	4,652

Significant changes in contract liabilities

Council has received significant advance funding under a number of grant programs. Funding received under the Local Roads & Community Infrastructure Round 3, Stronger Country Communities Round 5 and the OLG Recovery Grant comprise the majority of the contract liabilities recognised in 2022/23.

Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

C3-3 Borrowings (continued)

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Loans – secured ¹	310	2,255	297	2,567
Total borrowings	310	2,255	297	2,567

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

Borrowings relating to restricted assets

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Externally restricted assets				
Water	107	1,196	103	1,303
Sewer	53	346	50	401
Borrowings relating to externally restricted assets	160	1,542	153	1,704
Total borrowings relating to restricted assets	160	1,542	153	1,704
Total borrowings relating to unrestricted assets	150	713	144	863
Total borrowings	310	2,255	297	2,567

Current borrowings not anticipated to be settled within the next twelve months

The following borrowings, even though classified as current, are not expected to be settled in the next 12 months.

(a) Changes in liabilities arising from financing activities

\$ '000	2022		Non-cash movements				2023
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	2,864	(299)	–	–	–	–	2,565
Total liabilities from financing activities	2,864	(299)	–	–	–	–	2,565

C3-3 Borrowings (continued)

	2021		Non-cash movements				2022
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
\$ '000							
Loans – secured	3,153	(289)	–	–	–	–	2,864
Total liabilities from financing activities	3,153	(289)	–	–	–	–	2,864

(b) Financing arrangements

\$ '000	2023	2022
Total facilities		
Credit cards/purchase cards	50	50
Total financing arrangements	50	50
Undrawn facilities		
– Credit cards/purchase cards	50	50
Total undrawn financing arrangements	50	50

Additional financing arrangements information

Breaches and defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Security over loans

Council loans are secured over future cash flows and leased liabilities are secured by the underlying leased assets.

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

C3-4 Employee benefit provisions

\$ '000	2023 Current	2023 Non-current	2022 Current	2022 Non-current
Annual leave	891	–	775	–
Sick leave	393	–	354	–
Long service leave	1,219	176	1,075	155
ELE on-costs	175	–	186	–
Total employee benefit provisions	2,678	176	2,390	155

C3-4 Employee benefit provisions (continued)

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2023	2022
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	1,482	1,314
	1,482	1,314

\$ '000	ELE provisions				Total
	Annual leave	Sick leave	Long service leave	ELE on-costs	
2023					
At beginning of year	775	354	1,230	186	2,545
Other	116	39	165	(11)	309
Total ELE provisions at end of year	891	393	1,395	175	2,854
2022					
At beginning of year	712	354	1,238	168	2,472
Other	63	–	(8)	18	73
Total ELE provisions at end of year	775	354	1,230	186	2,545

Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2023	2023	2022	2022
	Current	Non-Current	Current	Non-Current
Asset remediation/restoration:				
Asset remediation/restoration (future works)	–	2,822	–	2,715
Sub-total – asset remediation/restoration	–	2,822	–	2,715
Total provisions	–	2,822	–	2,715

continued on next page ...

C3-5 Provisions (continued)

\$ '000	2023 Current	2023 Non-Current	2022 Current	2022 Non-Current
Provisions relating to restricted assets				
Total provisions relating to restricted assets	—	—	—	—
Total provisions relating to unrestricted assets	—	2,822	—	2,715
Total provisions	—	2,822	—	2,715

Current provisions not anticipated to be settled within the next twelve months

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Description of and movements in provisions

\$ '000	Other provisions	
	Asset remediation	Total
2023		
At beginning of year	2,715	2,715
Reassessment completed on tips/gravel pits	107	107
Total other provisions at end of year	2,822	2,822
2022		
At beginning of year	2,278	2,278
Reassessment completed on tips/gravel pits	437	437
Total other provisions at end of year	2,715	2,715

Nature and purpose of provisions

Asset remediation

Council has a legal/public obligation to make, restore, rehabilitate and reinstate the council tips and quarries.

Accounting policy

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Restoration

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The costs are estimated on the basis of a closure plan. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

C3-5 Provisions (continued)

Rehabilitation

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each reporting date, and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the reporting date. These costs are charged to the Income Statement. Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process, and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	General 2023	Water 2023	Sewer 2023
Income from continuing operations			
Rates and annual charges	4,064	1,076	626
User charges and fees	3,035	1,331	–
Interest and investment revenue	1,098	18	5
Other revenues	467	29	3
Grants and contributions provided for operating purposes	21,109	153	5
Grants and contributions provided for capital purposes	3,217	162	210
Net gains from disposal of assets	174	–	–
Total income from continuing operations	33,164	2,769	849
Expenses from continuing operations			
Employee benefits and on-costs	7,840	456	82
Materials and services	7,646	1,035	104
Borrowing costs	134	51	10
Depreciation, amortisation and impairment of non-financial assets	5,423	997	120
Other expenses	419	–	–
Net losses from the disposal of assets	(64)	57	7
Total expenses from continuing operations	21,398	2,596	323
Operating result from continuing operations	11,766	173	526
Net operating result for the year	11,766	173	526
Net operating result attributable to each council fund	11,766	173	526
Net operating result for the year before grants and contributions provided for capital purposes	8,549	11	316

D1-2 Statement of Financial Position by fund

\$ '000	General 2023	Water 2023	Sewer 2023
ASSETS			
Current assets			
Cash and cash equivalents	19,072	2,739	1,304
Investments	17,319	–	–
Receivables	614	186	39
Inventories	1,367	–	–
Total current assets	38,372	2,925	1,343
Non-current assets			
Receivables	218	347	72
Infrastructure, property, plant and equipment	231,597	36,242	5,607
Total non-current assets	231,815	36,589	5,679
Total assets	270,187	39,514	7,022
LIABILITIES			
Current liabilities			
Payables	1,679	1	1
Contract liabilities	1,779	16	20
Borrowings	150	107	53
Employee benefit provision	2,678	–	–
Total current liabilities	6,286	124	74
Non-current liabilities			
Borrowings	713	1,196	346
Employee benefit provision	176	–	–
Provisions	2,822	–	–
Total non-current liabilities	3,711	1,196	346
Total liabilities	9,997	1,320	420
Net assets	260,190	38,194	6,602
EQUITY			
Accumulated surplus	143,451	8,218	3,651
Revaluation reserves	116,739	29,976	2,951
Council equity interest	260,190	38,194	6,602
Total equity	260,190	38,194	6,602

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

The fair value of Council's financial assets and financial liabilities approximates their carrying amount.

\$ '000	Carrying value 2023	Carrying value 2022	Fair value 2023	Fair value 2022
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	23,115	20,433	23,115	20,433
Receivables	1,476	1,580	839	759
Investments				
– Debt securities at amortised cost	17,319	10,284	17,319	10,284
Total financial assets	41,910	32,297	41,273	31,476
Financial liabilities				
Payables	1,681	1,282	1,681	1,282
Loans/advances	2,565	2,864	2,565	2,864
Total financial liabilities	4,246	4,146	4,246	4,146

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and measure at amortised cost investments** – are based upon estimated future cash flows discounted by the current market interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.

Council's objective is to maximise its return on cash and investments while maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether these changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

E1-1 Risks relating to financial instruments held (continued)

(a) Market risk – interest rate and price risk

\$ '000	2023	2022
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	177	83
Impact of a 10% movement in price of investments		
– Equity / Income Statement	–	–

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

Council makes suitable provision for doubtful receivables as required.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	overdue rates and annual charges			Total
	Not yet overdue	< 5 years	≥ 5 years	
2023				
Gross carrying amount	–	522	134	656
2022				
Gross carrying amount	–	537	80	617

E1-1 Risks relating to financial instruments held (continued)

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	Overdue debts				Total
		0 - 30 days	31 - 60 days	61 - 90 days	> 91 days	
2023						
Gross carrying amount	703	36	68	32	83	922
Expected loss rate (%)	0.00%	0.00%	0.00%	0.00%	10.00%	0.90%
ECL provision	—	—	—	—	8	8
2022						
Gross carrying amount	777	34	143	32	76	1,062
Expected loss rate (%)	0.00%	0.00%	0.00%	0.00%	10.00%	0.72%
ECL provision	—	—	—	—	8	8

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
\$ '000							
2023							
Payables	0.00%	31	1,650	–	–	1,681	1,681
Borrowings	3.29%	–	310	1,406	849	2,565	2,565
Total financial liabilities		31	1,960	1,406	849	4,246	4,246
2022							
Payables	0.00%	33	1,249	–	–	1,282	1,282
Borrowings	0.00%	–	297	934	1,635	2,866	2,864
Total financial liabilities		33	1,546	934	1,635	4,148	4,146

Loan agreement breaches

During 2022/23 there were no defaults or breaches on any Council borrowings.

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Unobservable inputs for the asset or liability.

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2023	2022	2023	2022	2023	2022	2023	2022
Recurring fair value measurements									
Financial assets									
Financial investments	C1-2								
– Held to maturity at amortised cost		30/06/23	30/06/22	17,319	10,284	–	–	17,319	10,284
Receivables		30/06/23	30/06/22	1,476	1,580	–	–	1,476	1,580
Total financial assets				18,795	11,864	–	–	18,795	11,864
Financial liabilities									
Payables		30/06/23	30/06/22	1,681	1,282	–	–	1,681	1,282
Borrowings		30/06/23	30/06/22	2,565	2,864	–	–	2,565	2,864
Total financial liabilities				4,246	4,146	–	–	4,246	4,146
Infrastructure, property, plant and equipment									
	C1-6								
Plant and equipment		30/06/23	30/06/22	–	–	8,347	7,951	8,347	7,951
Office equipment		30/06/23	30/06/22	–	–	180	243	180	243
Furniture and fittings		30/06/23	30/06/22	–	–	34	12	34	12
Operational land		30/06/22	30/06/22	2,469	2,469	–	–	2,469	2,469
Community land		30/06/22	30/06/22	–	–	1,684	1,684	1,684	1,684
Land improvements		30/06/21	30/06/21	–	–	2,720	2,548	2,720	2,548
Buildings – non specialised		30/06/22	30/06/22	24,659	23,007	–	–	24,659	23,007
Buildings – specialised		30/06/22	30/06/22	–	–	2,244	1,958	2,244	1,958
Roads		30/06/21	30/06/21	–	–	137,910	119,759	137,910	119,759
Bridges		30/06/21	30/06/21	–	–	27,015	23,254	27,015	23,254
Footpaths		30/06/21	30/06/21	–	–	2,451	1,958	2,451	1,958
Stormwater drainage		30/06/21	30/06/21	–	–	2,776	2,420	2,776	2,420
Water supply network		30/06/22	30/06/22	–	–	35,833	33,170	35,833	33,170
Sewerage network		30/06/22	30/06/22	–	–	5,581	4,925	5,581	4,925
Swimming pools		30/06/22	30/06/22	–	–	3,770	3,522	3,770	3,522
Open space/recreational assets		30/06/23	30/06/18	–	–	4,336	3,346	4,336	3,346
Library books		30/06/23	30/06/22	–	–	71	65	71	65
Other assets		30/06/23	30/06/22	–	–	4,637	3,098	4,637	3,098
Capital work in progress		30/06/23	30/06/22	56	–	3,546	11,135	3,602	11,135
Other infrastructure		30/06/22	30/06/22	–	–	1,919	1,806	1,919	1,806
Other structures		30/06/23	30/06/18	–	–	78	30	78	30

E2-1 Fair value measurement (continued)

		Fair value measurement hierarchy							
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2023	2022	2023	2022	2023	2022	2023	2022
Total infrastructure, property, plant and equipment				27,184	25,476	245,132	222,884	272,316	248,360

E2-1 Fair value measurement (continued)

Valuation techniques

The objective of using a valuation technique is to estimate the price at which an orderly transaction to sell or to transfer the liability would take place between market participants at the measurement date under current market conditions. Three widely used valuation techniques are the market approach, the cost approach and the income approach. Carrathool Shire Council use valuation techniques consistent with one or more of those approaches to measure fair value.

'Cost Approach' – A valuation technique that reflects the amount that would be required to replace the service capacity of an asset (current replacement cost) or depreciated replacement cost in the example of plant and equipment, office equipment and furniture and fittings.

Income Approach – A valuation technique that converts future amounts (cash flows inflows/outflows) to signal current (ie discounted) amount. The fair value measurement is determined on the basis if the value indicated by current market expectations about these future amounts.

Market Approach – A valuation technique that uses prices and other relevant information, generated by the market transactions involving identical or comparable (similar) assets, liabilities or a group of assets and liabilities such as a business.

All of Council's non-financial assets are considered to being utilised for their highest and best use.

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Financial assets

Investments Held to Maturity at Amortised Cost: Valuation Technique: Bank confirmations Unobservable inputs: Interest rates
Receivables: Valuation Technique: Rates & Debtors finance modules Unobservable inputs: Bad debts

Financial liabilities

Payables: Valuation Technique: Creditors finance module Unobservable inputs: Market impacts
Borrowings: Valuation Technique: Bank confirmations Unobservable inputs: Interest rates

Infrastructure, property, plant and equipment (IPPE)

Plant, equipment, furniture & fittings and office equipment: Valuation Technique: Cost used to approximate fair value.

Unobservable inputs: Gross replacement cost, useful life and residual value.

Operational Land: Valuation technique: Independent valuation company. Unobservable inputs: Land value & area.

Community Land: Valuation technique: Independent valuation company. Unobservable inputs: Land value & area.

Land Improvements: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Buildings NS: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Buildings S: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Roads, Bridges & Footpaths: Valuation technique: Independent valuation company, unit rates & lengths. Unobservable inputs: Asset condition & remaining lives.

Stormwater Drainage: Valuation technique: Independent valuation company, unit rates & lengths. Unobservable inputs: Asset condition & remaining lives.

Water Supply Network: Valuation technique: Independent valuation company, unit rates & lengths, indexed annually at the determined indexation rate. Unobservable inputs: Asset condition & remaining lives.

Sewerage Network: Valuation technique: Independent valuation company, unit rates & lengths, indexed annually at the determined indexation rate. Unobservable inputs: Asset condition & remaining lives.

Swimming Pools: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Open space/recreational assets: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Library Books: Cost used to approximate fair value: Unobservable inputs: Asset condition & remaining lives.

Other Assets: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

Other Structures: Valuation technique: Independent valuation company. Unobservable inputs: Asset condition & remaining lives.

An assessment has been undertaken resulting in an indexation being applied to the following asset classes for 30 June 2023:

- Land Improvements

E2-1 Fair value measurement (continued)

- Buildings non-specialised
- Buildings - specialised
- Roads
- Bridges
- Footpaths
- Stormwater drainage
- Swimming pools
- Other infrastructure
- Other assets not externally revalued at 30 June 2023, namely caravan parks

E2-1 Fair value measurement (continued)

Fair value measurements using significant unobservable inputs (level 3)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy is provided below:

\$ '000	I,PP and E	
	2023	2022
Opening balance	222,884	214,669
Total gains or losses for the period		
Other movements		
Purchases (GBV)	11,075	14,748
Disposals (WDV)	(1,244)	(873)
Depreciation and impairment	(5,756)	(5,744)
Revaluation Increments to Equity	18,173	4,480
Revaluation Decrements to Equity	—	(4,396)
Closing balance	245,132	222,884

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are:

Division B	1.9 times employee contributions for non 180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times employee contributions

* For 180 Point Members, employers are required to contribute 8% of salaries to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20 million per annum for 1 January 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2022. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2023 was \$44,029. The last valuation of the Scheme was performed by Mr Richard Boyfield FIAA as at 30 June 2022.

E3-1 Contingencies (continued)

The amount of additional contributions included in the total employer contribution advised above is \$28,321. Council's expected contribution to the plan for the next annual reporting period is \$49,255.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2023 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,290.9	
Past Service Liabilities	2,236.1	102.4%
Vested Benefits	2,253.6	101.7%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is \$49,255.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.0% per annum
Salary inflation *	3.5% per annum
Increase in CPI	6.0% for FY 22/23 2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review which will be a triennial actuarial investigation will be completed by December 2023.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

E3-1 Contingencies (continued)

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

(iii) Rural Fire Service

The *Local Government Code of Accounting Practice and Financial Reporting 21/22* issued by the Office of Local Government at page 54 states **"Councils need to assess whether they control any Rural Fire Service assets and recognise in their financial statements any material assets under their control."**

In addition, AASB116 requires that an asset can only be recognised if it is probable that future economic benefits associated with the item will flow to the entity. Control is defined in the *"AASB Conceptual Framework."*

In response to the Code's assessment requirements and based on Council's review of:

1. effective control, and
2. what entity receives the future economic benefits

of the rural fire fighting assets, Council has adopted an accounting position statement on the recognition of Rural Fire Service assets which states:

"Council accounts for land and buildings used by the Rural Fire Service that are situated on Council-controlled land, however Council does not account for Rural Fire Service plant or other equipment."

Council's adopted accounting position statement above:

- a. is in accordance with the views of LG NSW who are the peak industry support and advocacy body representing NSW Councils,
- b. is in accordance with the OLG's independent accounting advice (the Parker Report), and also
- c. corresponds with independent accounting advice provided to a similar NSW Council during 2021/22.

It should be noted that the consolidated value of all Rural Fire Service (plant and equipment) assets across the State is likely to be a very large number and therefore these assets (and amounts) should be carried in the financial statements of the NSW Rural Fire Service with Council having concluded that "on balance" the NSW Rural Fire Service both controls the rural fire fighting assets and receives their future economic benefits.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly. Council has three key management personnel.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2023	2022
Compensation:		
Short-term benefits	887	907
Post-employment benefits	55	–
Other long-term benefits	117	–
Termination benefits	–	92
Total	1,059	999

F1-1 Key management personnel (KMP) (continued)

Other transactions with KMP and their related parties

Council has determined that transactions at arm's length between KMP and Council as part of Council delivering a public service objective (e.g. access to library or Council swimming pool by KMP) will not be disclosed.

Nature of the transaction			Outstanding balances including commitments	Terms and conditions	Impairment provision on outstanding balances	Impairment expense
\$ '000	Ref	Transactions during the year				
2023						
Creditor - Earthmoving	3	1	–	Standard procurement process	–	–
Employee Expenses relating to close family members of KMP	1	67	–	Local Government State Award	–	–
Staff Reimbursement of Expenses	2	–	–	30 day terms on invoices	–	–
2022						
Creditor - Earthmoving	3	10	–	Standard procurement process	–	–
Employee Expenses relating to close family members of KMP	1	177	–	Local Government State Award	–	–
Staff Reimbursement of Expenses	2	1	–	30 day terms on invoices	–	–

- 1 Close family members of Council KMP are employed by the Council under the relevant pay award on an arm's length basis. There is one close family member of KMP currently employed by the Council.
- 2 Council, through its private works processes, provides debtor accounts for a variety of private works performed by Council staff for a number of KMP.
- 3 Council, through its normal procurement processes, obtained quotes for earthmoving services. A company associated with one KMP provided these services.

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2023	2022
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	28	25
Councillors' fees	127	103
Other Councillors' expenses (including Mayor)	11	24
Total	166	152

F2 Other relationships

F2-1 Audit fees

\$ '000	2023	2022
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	27	50
Remuneration for audit and other assurance services	27	50
Total Auditor-General remuneration	27	50
(ii) Other non-assurance services		
Non NSW Auditor-General audit firms		
(ii) Non-assurance services		
Internal Audit	8	—
Audit Committee	—	1
Remuneration for non-assurance services	8	1
Total remuneration of non NSW Auditor-General audit firms	8	1
Total audit fees	35	51

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of net operating result to cash provided from operating activities

\$ '000	2023	2022
Net operating result from Income Statement	12,465	15,688
Add / (less) non-cash items:		
Depreciation and amortisation	6,540	6,161
(Gain) / loss on disposal of assets	(174)	(170)
Unwinding of discount rates on reinstatement provisions	–	437
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	101	142
Increase / (decrease) in provision for impairment of receivables	3	–
(Increase) / decrease of inventories	473	453
Increase / (decrease) in payables	518	(1,768)
Increase / (decrease) in accrued interest payable	–	(1)
Increase / (decrease) in other accrued expenses payable	104	365
Increase / (decrease) in other liabilities	(223)	(166)
Increase / (decrease) in contract liabilities	(258)	(2,579)
Increase / (decrease) in employee benefit provision	309	73
Increase / (decrease) in other provisions	107	–
Net cash flows from operating activities	19,965	18,635

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2023	2022
Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:		
Property, plant and equipment		
Other	12,318	6,393
Total commitments	12,318	6,393
These expenditures are payable as follows:		
Within the next year	12,318	6,393
Total payable	12,318	6,393
Sources for funding of capital commitments:		
Unrestricted general funds	1,285	574
Future grants and contributions	11,033	5,819
Total sources of funding	12,318	6,393

Details of capital commitments

Capital projects committed to are categorised as general fund (\$11,561k), combined water network (\$637k) and sewer network (\$120k).

G3 Statement of developer contributions as at 30 June 2023

G3-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2022	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2023	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Community facilities	456	253	—	—	—	—	—	709	—
S7.11 contributions – under a plan	456	253	—	—	—	—	—	709	—
Total S7.11 and S7.12 revenue under plans	456	253	—	—	—	—	—	709	—
Total contributions	456	253	—	—	—	—	—	709	—

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G3-2 Developer contributions by plan

\$ '000	Opening balance at 1 July 2022	Contributions received during the year			Non-cash Other	Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2023	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land							
CONTRIBUTION PLAN NUMBER 1										
Community facilities	5	—	—	—	—	—	—	—	5	—
Total	5	—	—	—	—	—	—	—	5	—
CONTRIBUTION PLAN NUMBER 2										
Community facilities	451	253	—	—	—	—	—	—	704	—
Total	451	253	—	—	—	—	—	—	704	—

G4 Statement of performance measures

G4-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2023	Indicator 2023	Indicators 20222021		Benchmark
1. Operating performance ratio					
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	8,702	26.35%	23.98%	(5.84)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	33,019				
2. Own source operating revenue ratio					
Total continuing operating revenue excluding all grants and contributions ¹	11,752	32.10%	27.17%	39.11%	> 60.00%
Total continuing operating revenue ¹	36,608				
3. Unrestricted current ratio					
Current assets less all external restrictions	31,303	10.59x	10.58x	5.31x	> 1.50x
Current liabilities less specific purpose liabilities	2,956				
4. Debt service cover ratio					
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	15,437	31.25x	17.06x	13.00x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	494				
5. Rates and annual charges outstanding percentage					
Rates and annual charges outstanding	657	10.23%	9.77%	9.88%	< 10.00%
Rates and annual charges collectable	6,423				
6. Cash expense cover ratio					
Current year's cash and cash equivalents plus all term deposits	40,434	25.95 months	17.66 months	16.86 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	1,558				

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G4-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2023	2022	2023	2022	2023	2022	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	28.13%	25.80%	0.42%	(2.15)%	49.45%	44.37%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	26.26%	21.31%	88.62%	89.71%	74.68%	99.15%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	10.59x	10.58x	23.59x	12.03x	18.15x	4.76x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	32.18x	16.69x	20.76x	18.19x	44.60x	36.82x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	13.92%	13.11%	0.00%	0.00%	0.00%	0.00%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	23.35	15.06	∞	∞	∞	∞	> 3.00
Monthly payments from cash flow of operating and financing activities	months	months					months

(1) - (2) Refer to Notes at Note 25(a) above.

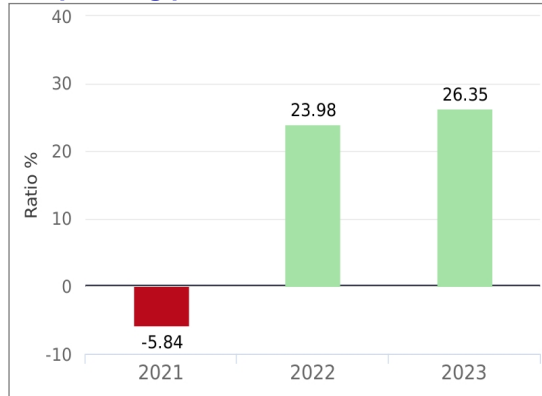
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements

H Additional Council disclosures (unaudited)

H1-1 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2022/23 result

2022/23 ratio 26.35%

Council has again received additional Financial Assistance Grant funds in advance (100%). These funds are untied and are recorded as operating revenue in the year received.

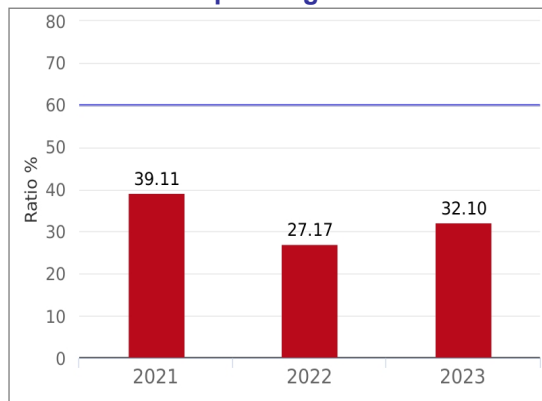
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2022/23 result

2022/23 ratio 32.10%

Due to Council's remoteness and reliance of grant funding to maintain its extensive road network, it continues to be difficult to meet this ratio target. Council has limited opportunities to source and generate additional revenue through the creation of alternate income streams, again due to its remoteness.

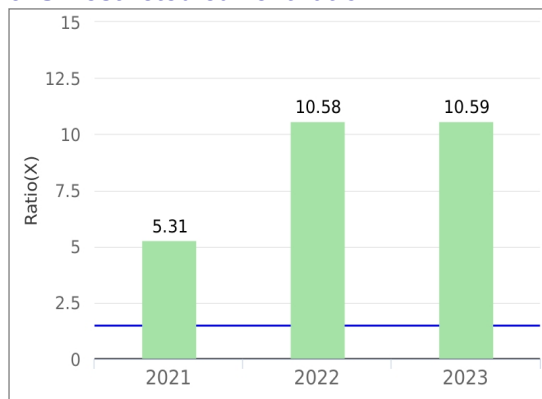
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2022/23 result

2022/23 ratio 10.59x

Council continues to maintain adequate working capital to satisfy its obligations through careful management. This result is a good long-term stability indicator.

Benchmark: — > 1.50x

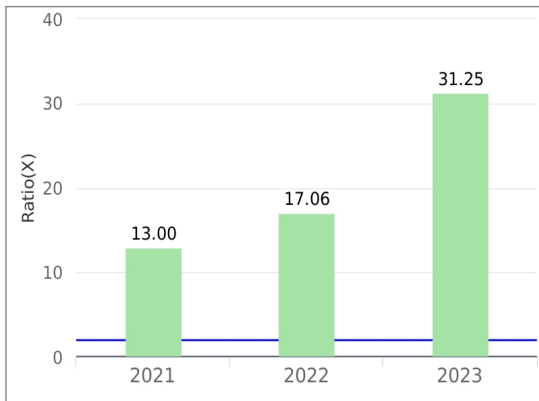
Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-1 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2022/23 result

2022/23 ratio 31.25x

Council has adequate cash to service all borrowings and this ratio is consistently well above the required benchmark.

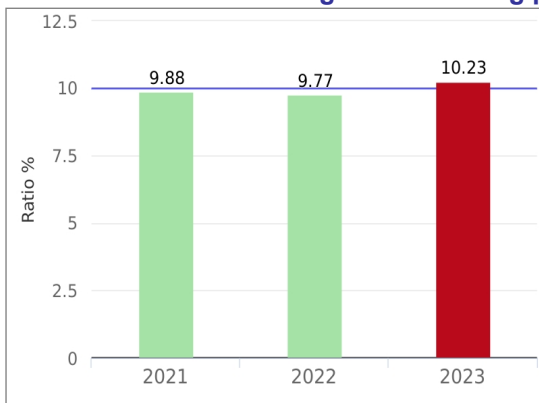
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2022/23 result

2022/23 ratio 10.23%

Council ratepayers are generally meeting their commitments. The impact of COVID-19 and the suspension of debt recovery continues to have some impact with a larger than usual number of long-term outstanding debts keeping the ratio slightly above the benchmark. A section 713 sale of land for unpaid rates and charges is scheduled to be undertaken during 2023/24.

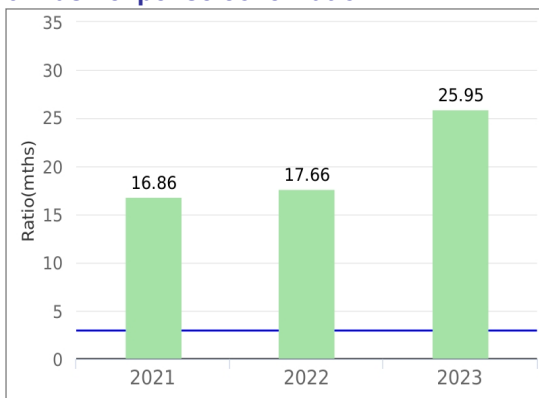
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2022/23 result

2022/23 ratio 25.95 months

This ratio sits well above the required industry benchmark and reflects the close monitoring of cash reserves.

Benchmark: — > 3.00months

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-2 Council information and contact details

Principal place of business:

9 - 11 Cobram Street
GOOLGOWI NSW 2652

Contact details

Mailing Address:

PO Box 12
GOOLGOWI NSW 2652

Telephone: 02 6965 1900

Facsimile: 02 6965 1379

Opening hours:

8:30am - 4:30pm
Monday to Friday

Internet: www.carrathool.nsw.gov.au

Email: council@carrathool.nsw.gov.au

Officers

General Manager

Rick Warren

Responsible Accounting Officer

Robert Rayner

Public Officer

Robert Rayner

Auditors

Audit Office of NSW
GPO Box 12
SYDNEY NSW 2001

Elected members

Mayor

Cr. Darryl Jardine

Councillors

Beverley Furner
David Fensom
Geoff Peters
Julie Potter
Heather Lyall
Michael Armstrong
Bill Kite
Leon Cashmere
Damon Liddicoat

Other information

ABN: 86 008 844 676



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Carrathool Shire Council

To the Councillors of Carrathool Shire Council

Qualified Opinion

I have audited the accompanying financial statements of Carrathool Shire Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2023, the Statement of Financial Position as at 30 June 2023, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion, except for the effects of the matter described in the 'Basis for Qualified Opinion' section of my report:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2023, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My qualified opinion should be read in conjunction with the rest of this report.

Basis for Qualified Opinion

Non recognition of rural fire-fighting equipment

As disclosed in Note C1-6 'Infrastructure, property, plant and equipment' and Note E3-1 'Contingencies' to the financial statements, the Council has not recognised rural fire-fighting equipment as assets in the Statement of Financial Position at 30 June 2023. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refer to control of an asset as being the ability to direct the use of, and obtain substantially all of the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the *Rural Fires Act 1997* (Rural Fires Act), giving the Council legal ownership
- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 2 September 2009
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such the assets are provided to the Council free-of-charge.

This is a limitation on the scope of my audit as I was unable to obtain sufficient appropriate audit evidence to:

- support the carrying values of rural fire-fighting equipment assets that should be recorded in the Statement of Financial Position and related notes as at 30 June 2023
- determine the impact on the 'Accumulated surplus' in the Statement of Changes in Equity and Statement of Financial Position
- determine the amount of 'Grants and contributions provided for capital purposes' income from any rural fire-fighting equipment assets vested as an asset received free of charge during the year and/or 'Depreciation, amortisation and impairment of non-financial assets' expense that should be recognised in the Income Statement for the year ended 30 June 2023
- determine the impact on the 'Operating performance' and 'Own source operating revenue' ratios in Note G4-1 'Statement of performance measures – consolidated results' and Note G4-2 'Statement of performance measures by fund'.

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my qualified audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Somaiya', is written over a faint, light blue circular stamp. The stamp contains some illegible text and a central emblem.

Somaiya Ahmed
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

31 October 2023
SYDNEY



Darryl Jardine
Mayor
Carrathool Shire Council
PO Box 12
GOOLGOWI NSW 2652

Contact: Somaiya Ahmed
Phone no: 02 9275 7424
Our ref: R008-16585809-46727

31 October 2023

Dear Mayor

Report on the Conduct of the Audit for the year ended 30 June 2023 Carrathool Shire Council

I have audited the general purpose financial statements (GPFS) of the Carrathool Shire Council (the Council) for the year ended 30 June 2023 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed a modified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2023 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

SIGNIFICANT AUDIT ISSUES AND OBSERVATIONS

I identified the following significant audit issues and observations during my audit of the Council's financial statements. These issues and observations were addressed as part of my audit.

Modification to the opinion in the Independent Auditor's Report

Non-recognition of rural fire-fighting equipment

The Council has not recognised rural fire-fighting equipment as assets within 'Infrastructure, property, plant and equipment' in the Statement of Financial Position at 30 June 2023. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refer to control of an asset as being the ability to direct the use of, and obtain substantially all of the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the *Rural Fires Act 1997* (Rural Fires Act), giving the Council legal ownership
- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 13 December 2020
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such the assets are provided to the Council free of charge.

Consequently, we were unable to determine the carrying values of rural firefighting equipment assets and related amounts that should be recorded and recognised in the council's 30 June 2023 financial statements.

This has resulted in the audit opinion on the Council's 30 June 2023 general purpose financial statements (GPFS) to be modified.

Refer to the Independent Auditor's Report on the GPFS.

INCOME STATEMENT

Operating result

	2023 \$m	2022 \$m	Variance %
Rates and annual charges revenue	5.8	5.7	↑ 1.8
Grants and contributions revenue	24.9	28.6	↓ 12.9
Operating result from continuing operations	12.5	15.7	↓ 20.4
Net operating result before capital grants and contributions	8.9	7.6	↑ 17.1

Rates and annual charges revenue (\$5.8 million) increased by \$0.1 million (1.8 per cent) in 2022–23 mainly due to the rate peg increase of 2.0 per cent.

Grants and contributions revenue (\$24.9 million) decreased by \$3.7 million (12.9 per cent) in 2022–23 due to:

- decrease of \$5.8 million of storm / flood damage grants to repair roads received during the year

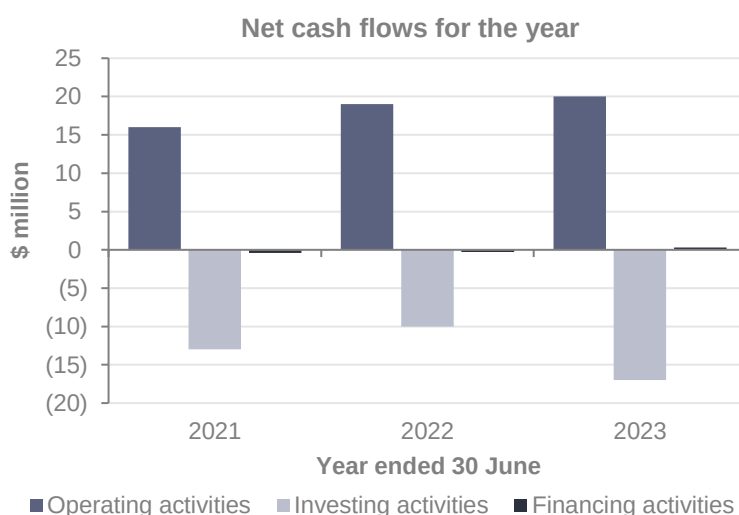
- increase of \$2.5 million from financial assistance grants (future year allocation) received in advance during the year.

The Council's operating result from continuing operations (\$12.5 million including depreciation, amortisation and impairment expense of \$6.5 million) was \$3.2 million lower than the 2021–22 result.

The net operating result before capital grants and contributions (\$8.9 million) was \$1.3 million higher than the 2021–22 result. This is mainly due to the \$1.0 million increase in interest and investment income.

STATEMENT OF CASH FLOWS

- Council's cash and cash equivalents were \$23.1 million (\$20.4 million for the year ended 30 June 2022). There was a net increase of cash and cash equivalents of \$2.7 million during the 2022-23 financial year.
- Net cash provided by operating activities increased by \$1.3 million mainly due to a reduction in payments for materials and services.
- Net cash used in investing activities increased by \$6.6 million, largely due to acquisitions of term deposits.
- Net cash used in financing activities was unchanged from the prior year as no new borrowings in 2023.



FINANCIAL POSITION

Cash and investments

Cash and investments	2023	2021	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	40.4	30.7	• Externally restricted balances comprise mainly of specific purpose unexpended grants, water and sewer funds. The increase of \$3.8 million is primarily due to a \$3.9 million increase in specific purpose unexpended grants. • Internal allocations are determined by Council policies or decisions, which are subject to change. The increase of \$4.4 million in the internal allocations is primarily due to a \$2.5 million increase in the Financial Assistance Grant received in advance.
Restricted cash and investments:			
• External restrictions	11.1	7.3	
• Internal restrictions	21.3	16.9	

Debt

The Council has \$2.6 million of borrowings as at 30 June 2023 (2022 \$2.9 million) which is secured over the revenue of Council.

PERFORMANCE

Performance measures

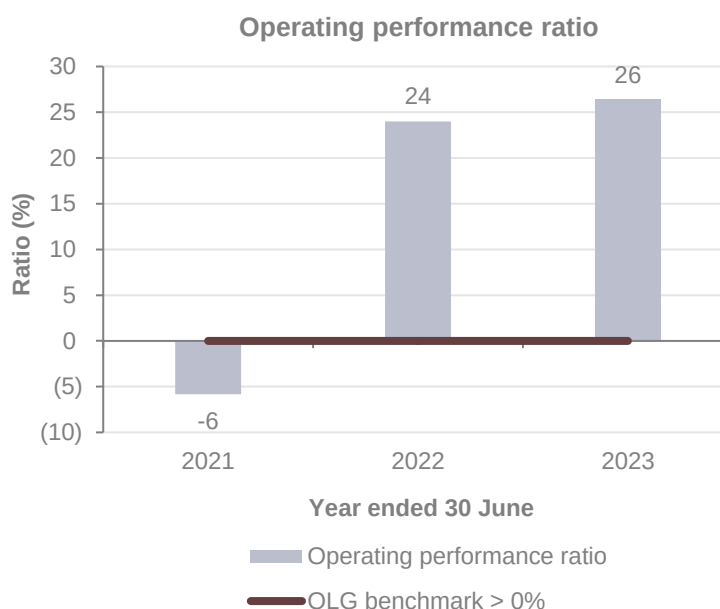
The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning and Environment.

Operating performance ratio

The Council exceeded the benchmark for the current reporting period.

The operating performance ratio increased to 26.4 per cent (2022: 24.0 per cent) mainly due to a \$1.0 million increase in interest and investment income.

The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.

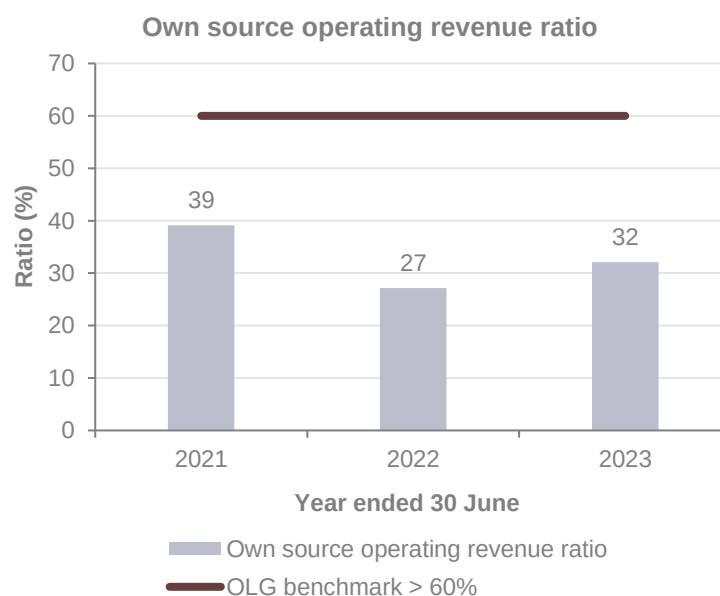


Own source operating revenue ratio

The Council did not meet the benchmark for the current reporting period.

The own source operating revenue ratio increased to 32.1 per cent from 27.1 per cent due to the \$1.0 million increase in interest and investment income noted above.

The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.

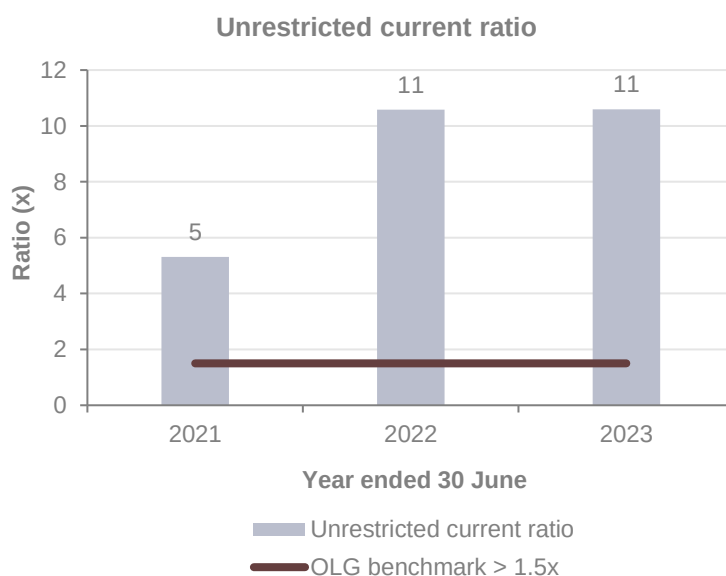


Unrestricted current ratio

The Council exceeded the benchmark for the current reporting period.

Council's unrestricted current ratio of 10.6 per cent is consistent with prior year of 10.6 per cent.

The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

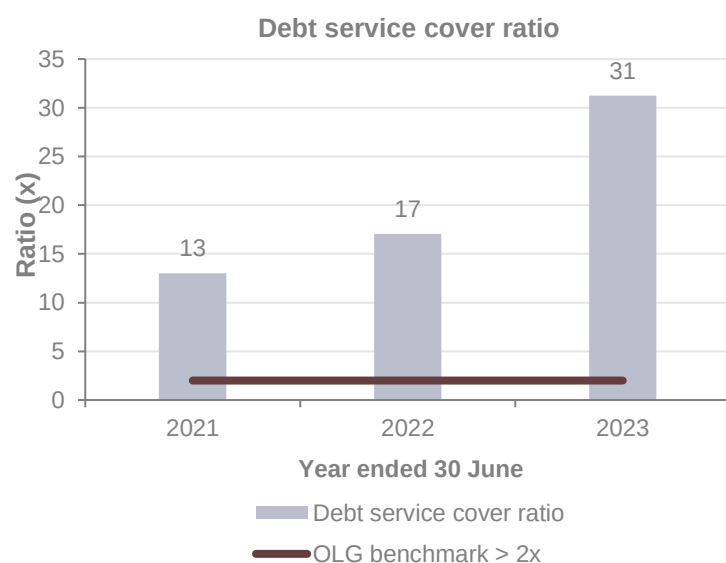


Debt service cover ratio

The Council exceeded the benchmark for the current reporting period.

The debt service cover ratio increased to 31 times (2022: 17 times) due to the decrease in borrowings as Council makes repayments on current debt and no new borrowings.

The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.

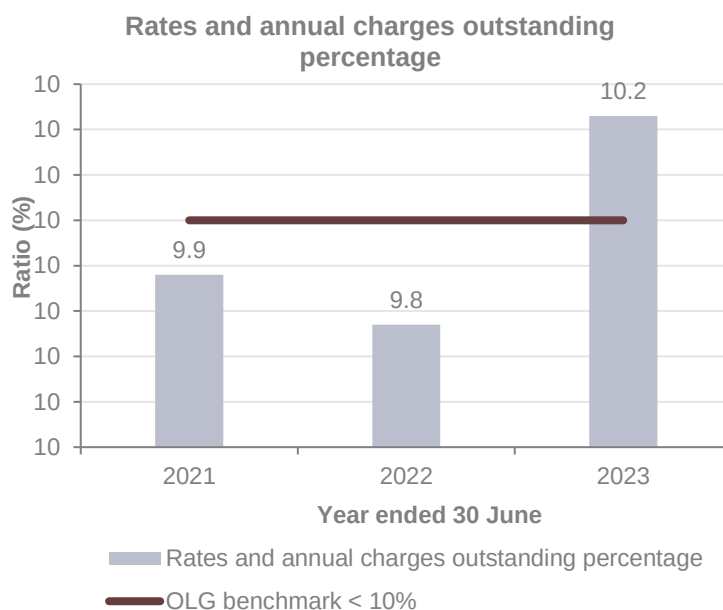


Rates and annual charges outstanding percentage

The Council did not meet the benchmark for the current reporting period.

The Council's rates and annual charges outstanding percentage ratio increased to 10.2 per cent due to increase in rates and annual charges outstanding.

The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for regional and rural councils.

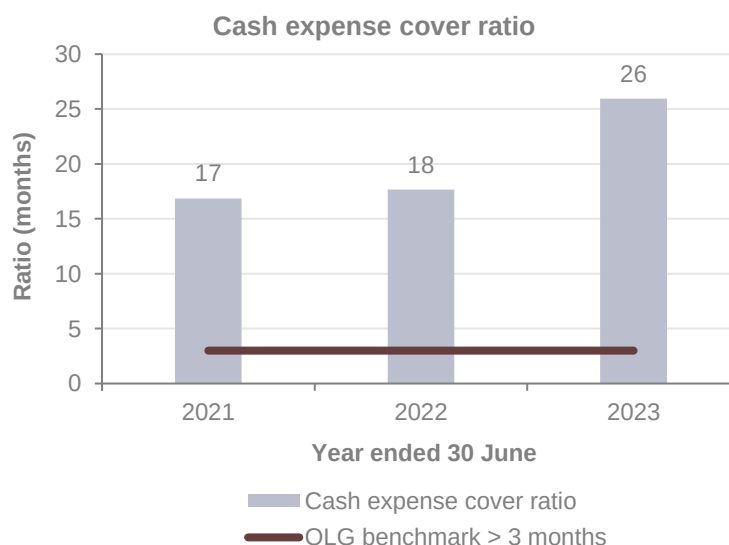


Cash expense cover ratio

The Council exceeded the benchmark for the current reporting period.

The Council's cash expense cover ratio has increased due to an increase in unexpended grants and contributions which have built up over the last two years.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

The Council renewed \$8.0 million of assets in the 2022-23 financial year, compared to \$6.2 million of assets in the 2021-22 financial year.

OTHER MATTERS

Legislative compliance

My audit procedures identified a material deficiency in the Council's financial statements due to the non-recognition of rural fire-fighting equipment which will be reported in the Management Letter.

Except for the matter outlined above, the Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.

A handwritten signature in black ink, appearing to read 'Somaiya', written over a faint, light blue grid background.

Somaiya Ahmed
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Carrathool Shire Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2023



Special Purpose Financial Statements

for the year ended 30 June 2023

Contents	Page
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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Carrathool Shire Council

Special Purpose Financial Statements

for the year ended 30 June 2023

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

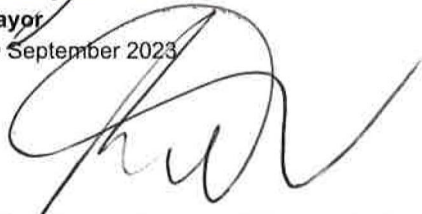
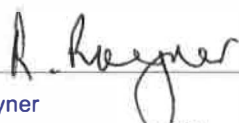
- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government',
- the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 19 September 2023.


Cr Darryl Jardine
Mayor
19 September 2023
Rick Warren
General Manager
19 September 2023
Cr Beverley Furner
Councillor
19 September 2023
Robert Rayner
Responsible Accounting Officer
19 September 2023

Carrathool Shire Council

Income Statement of water supply business activity

for the year ended 30 June 2023

\$ '000	2023	2022
Income from continuing operations		
Access charges	1,076	1,039
User charges	1,331	1,328
Interest and investment income	18	18
Grants and contributions provided for operating purposes	153	7
Other income	29	31
Total income from continuing operations	2,607	2,423
Expenses from continuing operations		
Employee benefits and on-costs	456	441
Borrowing costs	51	54
Materials and services	1,035	1,000
Depreciation, amortisation and impairment	997	980
Net loss from the disposal of assets	57	–
Total expenses from continuing operations	2,596	2,475
Surplus (deficit) from continuing operations before capital amounts	11	(52)
Grants and contributions provided for capital purposes	162	270
Surplus (deficit) from continuing operations after capital amounts	173	218
Surplus (deficit) from all operations before tax	173	218
Less: corporate taxation equivalent (25%) [based on result before capital]	(3)	–
Surplus (deficit) after tax	170	218
Plus accumulated surplus	8,045	7,827
– Corporate taxation equivalent	3	–
Closing accumulated surplus	8,218	8,045
Return on capital %	0.2%	0.0%
Subsidy from Council	1,395	1,223
Calculation of dividend payable:		
Surplus (deficit) after tax	170	218
Less: capital grants and contributions (excluding developer contributions)	(162)	(270)
Surplus for dividend calculation purposes	8	–
Potential dividend calculated from surplus	4	–

Carrathool Shire Council

Income Statement of sewerage business activity

for the year ended 30 June 2023

\$ '000	2023	2022
Income from continuing operations		
Access charges	626	566
Interest and investment income	5	5
Grants and contributions provided for operating purposes	5	5
Other income	3	10
Total income from continuing operations	639	586
Expenses from continuing operations		
Employee benefits and on-costs	82	61
Borrowing costs	10	11
Materials and services	104	120
Depreciation, amortisation and impairment	120	134
Net loss from the disposal of assets	7	—
Total expenses from continuing operations	323	326
Surplus (deficit) from continuing operations before capital amounts	316	260
Grants and contributions provided for capital purposes	210	—
Surplus (deficit) from continuing operations after capital amounts	526	260
Surplus (deficit) from all operations before tax	526	260
Less: corporate taxation equivalent (25%) [based on result before capital]	(79)	(65)
Surplus (deficit) after tax	447	195
Plus accumulated surplus	3,126	2,866
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	79	65
Closing accumulated surplus	3,652	3,126
Return on capital %	5.8%	5.5%
Subsidy from Council	—	—
Calculation of dividend payable:		
Surplus (deficit) after tax	447	195
Less: capital grants and contributions (excluding developer contributions)	(210)	—
Surplus for dividend calculation purposes	237	195
Potential dividend calculated from surplus	119	98

Carrathool Shire Council

Statement of Financial Position of water supply business activity

as at 30 June 2023

\$ '000	2023	2022
ASSETS		
Current assets		
Cash and cash equivalents	2,739	3,239
Receivables	186	142
Total current assets	2,925	3,381
Non-current assets		
Receivables	347	266
Infrastructure, property, plant and equipment	36,242	33,478
Total non-current assets	36,589	33,744
Total assets	39,514	37,125
LIABILITIES		
Current liabilities		
Contract liabilities	16	178
Payables	1	—
Borrowings	107	103
Total current liabilities	124	281
Non-current liabilities		
Borrowings	1,196	1,303
Total non-current liabilities	1,196	1,303
Total liabilities	1,320	1,584
Net assets	38,194	35,541
EQUITY		
Accumulated surplus	8,218	8,045
Revaluation reserves	29,976	27,496
Total equity	38,194	35,541

Carrathool Shire Council

Statement of Financial Position of sewerage business activity

as at 30 June 2023

\$ '000	2023	2022
ASSETS		
Current assets		
Cash and cash equivalents	1,304	1,294
Receivables	39	43
Total current assets	1,343	1,337
Non-current assets		
Receivables	72	81
Infrastructure, property, plant and equipment	5,607	4,969
Total non-current assets	5,679	5,050
Total assets	7,022	6,387
LIABILITIES		
Current liabilities		
Contract liabilities	20	230
Payables	1	1
Borrowings	53	50
Total current liabilities	74	281
Non-current liabilities		
Borrowings	346	401
Total non-current liabilities	346	401
Total liabilities	420	682
Net assets	6,602	5,705
EQUITY		
Accumulated surplus	3,651	3,125
Revaluation reserves	2,951	2,580
Total equity	6,602	5,705

Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

Council has no Category 1 business activities

Category 2

(where gross operating turnover is less than \$2 million)

- a. Carrathool Shire Council Combined Urban Water Supply
- b. Goolgowi Rural Water Supply
- c. Rankins Springs Rural Water Supply
- d. Melbergen Rural Water Supply

Comprising the whole of the Carrathool Shire Council Water Supply operations and net assets.

e. Carrathool Shire Council Combined Urban Sewerage Services

Comprising the whole of the Carrathool Shire Council Sewerage Reticulation & Treatment operations and net assets

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Note – Significant Accounting Policies (continued)

Corporate income tax rate – **25%** (21/22 25%)

Land tax – the first \$822,000 of combined land values attracts **0%**. For the combined land values in excess of \$822,000 up to \$5,026,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$5,026,000 a premium marginal rate of **2.0%** applies.

Payroll tax – 5.45% on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with the Department of Planning, Industry & Environment – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the Best Practice Management of Water Supply and Sewer Guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to the DPIE – Water guidelines is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (21/22 25%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the DPIE – Water guidelines and must not exceed:

- 50% of the relevant surplus in any one year, or
- the number of water supply or sewerage assessments at 30 June 2022 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

Note – Significant Accounting Policies (continued)

In accordance with the Best Practice Management of Water Supply and Sewer Guidelines, a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are submitted to DPIE – Water.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Carrathool Shire Council

To the Councillors of Carrathool Shire Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Carrathool Shire Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2023, the Statement of Financial Position of each Declared Business Activity as at 30 June 2023 and Significant accounting policies note.

The Declared Business Activities of the Council are:

- Water Supply Business Activity
- Sewerage Business Activity.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2023, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Somaiya', is written over a faint, light blue rectangular stamp. The signature is fluid and cursive.

Somaiya Ahmed
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

31 October 2023
SYDNEY

Carrathool Shire Council

SPECIAL SCHEDULES
for the year ended 30 June 2023



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Permissible income for general rates	3
Report on infrastructure assets as at 30 June 2023	7

Carrathool Shire Council

Permissible income for general rates

\$ '000	Notes	Calculation 2022/23	Calculation 2023/24
Notional general income calculation ¹			
Last year notional general income yield	a	3,615	3,622
Plus or minus adjustments ²	b	(9)	12
Notional general income	c = a + b	3,606	3,634
Permissible income calculation			
Or rate peg percentage	e	0.70%	3.70%
Or plus rate peg amount	i = e x (c + g)	25	134
Sub-total	k = (c + g + h + i + j)	3,631	3,768
Plus (or minus) last year's carry forward total	l	(3)	–
Less valuation objections claimed in the previous year	m	(6)	–
Sub-total	n = (l + m)	(9)	–
Total permissible income	o = k + n	3,622	3,768
Less notional general income yield	p	3,622	3,748
Catch-up or (excess) result	q = o – p	–	21
Carry forward to next year ⁶	t = q + r + s	–	21

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (6) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Carrathool Shire Council

To the Councillors of Carrathool Shire Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Carrathool Shire Council (the Council) for the year ending 30 June 2024.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2022–23 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2023 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2023'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'Somaiya', with a long horizontal stroke extending to the left.

Somaiya Ahmed
Delegate of the Auditor-General for New South Wales

31 October 2023
SYDNEY

Carrathool Shire Council

Report on infrastructure assets as at 30 June 2023

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard		Estimated cost to bring to the agreed level of service set by Council		2022/23 Required maintenance ^a	2022/23 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000					1	2	3	4	5
Buildings	Council Offices / Administration Centres	—	—	25	14	2,324	4,107	92.0%	8.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Council Works Depot	—	—	28	76	1,011	2,070	14.0%	86.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Buildings – specialised	—	—	45	46	2,244	2,945	43.0%	57.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Council Public Halls	—	—	9	6	4,007	8,189	16.0%	79.0%	5.0%	0.0%	0.0%	0.0%	0.0%
	Libraries	—	—	15	5	1,603	2,649	0.0%	100.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Cultural Facilities	238	—	—	—	—	947	0.0%	0.0%	0.0%	100.0%	0.0%	0.0%	0.0%
	Other Buildings	—	—	166	142	11,441	14,247	48.0%	30.0%	18.0%	4.0%	0.0%	0.0%	0.0%
	Council Dwellings	—	—	35	46	4,273	6,049	41.0%	59.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	238	—	323	335	26,903	41,203	38.7%	50.4%	7.2%	3.7%	0.0%	0.0%	0.0%
Other structures	Other structures	—	—	2	2	78	92	100.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	—	—	2	2	78	92	100.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Roads	Roads	—	—	—	—	—	—	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Sealed roads	—	—	1,511	1,784	74,010	90,287	36.0%	38.0%	26.0%	0.0%	0.0%	0.0%	0.0%
	Unsealed roads	198	—	3,037	3,543	60,160	82,374	12.0%	31.0%	53.0%	4.0%	0.0%	0.0%	0.0%
	Bridges	—	—	115	100	27,015	32,258	87.0%	13.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Footpaths	—	—	20	8	2,450	2,947	74.0%	18.0%	8.0%	0.0%	0.0%	0.0%	0.0%
	Access Roadways and Carparks	—	—	5	—	283	405	0.0%	80.0%	20.0%	0.0%	0.0%	0.0%	0.0%
	Major Road Culverts	—	—	15	12	984	1,632	28.0%	24.0%	48.0%	0.0%	0.0%	0.0%	0.0%
	Kerb and Gutter	—	—	20	2	2,474	3,554	54.0%	41.0%	5.0%	0.0%	0.0%	0.0%	0.0%
	Other road assets (incl. bulk earth works)	—	—	—	—	—	—	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	198	—	4,723	5,449	167,376	213,457	35.1%	31.3%	32.0%	1.5%	0.1%	0.0%	0.0%
Water supply network	Bores	—	—	20	15	509	1,036	0.0%	41.0%	59.0%	0.0%	0.0%	0.0%	0.0%
	Mains	—	—	334	238	29,191	64,581	17.0%	10.0%	68.0%	5.0%	0.0%	0.0%	0.0%
	Reservoirs	—	—	43	56	2,284	4,594	0.0%	10.0%	90.0%	0.0%	0.0%	0.0%	0.0%
	Pumping Stations/s	—	—	269	296	1,935	3,176	6.0%	74.0%	20.0%	0.0%	0.0%	0.0%	0.0%
	Treatment	—	—	42	37	1,397	1,911	39.0%	15.0%	46.0%	0.0%	0.0%	0.0%	0.0%
	Telemetry	—	—	78	41	517	863	76.0%	24.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	—	—	786	683	35,833	76,161	16.5%	13.4%	65.9%	4.2%	0.0%	0.0%	0.0%

Carrathool Shire Council

Report on infrastructure assets as at 30 June 2023 (continued)

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2022/23 Required maintenance ^a	2022/23 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000			1	2	3	4	5
Sewerage network	Mains	—	—	50	25	2,868	4,910	0.0%	8.0%	92.0%	0.0%	0.0%
	Pumping Stations/s	—	—	51	16	1,094	2,011	0.0%	35.0%	65.0%	0.0%	0.0%
	Treatment	—	—	30	27	1,341	1,804	0.0%	0.0%	100.0%	0.0%	0.0%
	Telemetry	—	—	6	4	278	308	75.0%	25.0%	0.0%	0.0%	0.0%
	Sub-total	—	—	137	72	5,581	9,033	2.6%	13.0%	84.4%	0.0%	0.0%
Stormwater drainage	Stormwater drainage	106	—	51	42	2,776	4,115	8.0%	50.0%	42.0%	0.0%	0.0%
	Sub-total	106	—	51	42	2,776	4,115	8.0%	50.0%	42.0%	0.0%	0.0%
Open space / recreational assets	Swimming pools	—	—	40	44	3,770	4,843	76.0%	24.0%	0.0%	0.0%	0.0%
	Recreational Infrastructure	—	—	10	16	4,336	5,687	56.0%	40.0%	4.0%	0.0%	0.0%
	Sub-total	—	—	50	60	8,106	10,530	65.2%	32.6%	2.2%	0.0%	0.0%
Other infrastructure assets	Levee Banks	—	—	40	—	1,919	2,143	62.0%	38.0%	0.0%	0.0%	0.0%
	Sub-total	—	—	40	—	1,919	2,143	62.0%	38.0%	0.0%	0.0%	0.0%
Total – all assets		542	—	6,112	6,643	248,572	356,734	31.5%	29.5%	36.8%	2.3%	(0.1%)

^(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Carrathool Shire Council

Report on infrastructure assets as at 30 June 2023

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2023	Indicator 2023	Indicators 20222021		Benchmark
Buildings and infrastructure renewals ratio					
Asset renewals ¹	5,527	105.82%	40.29%	170.65%	> 100.00%
Depreciation, amortisation and impairment	5,223				
Infrastructure backlog ratio					
Estimated cost to bring assets to a satisfactory standard	542	0.21%	0.23%	0.36%	< 2.00%
Net carrying amount of infrastructure assets	252,174				
Asset maintenance ratio					
Actual asset maintenance	6,643	108.69%	154.95%	105.10%	> 100.00%
Required asset maintenance	6,112				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	—	0.00%	0.00%	0.00%	
Gross replacement cost	356,734				

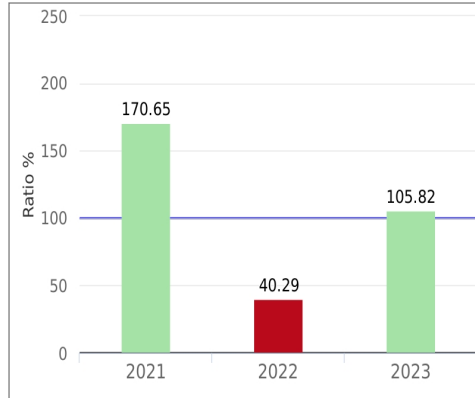
(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Carrathool Shire Council

Report on infrastructure assets as at 30 June 2023

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

22/23 ratio 105.82%

Council concentrated on asset renewal this year with grant funds utilised to improve Council's existing assets.

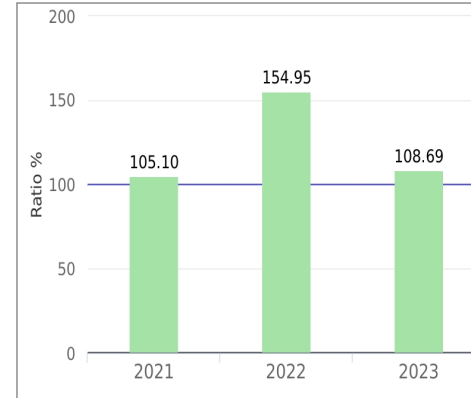
Benchmark: — > 100.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

22/23 ratio 108.69%

Council has been able to maintain its asset maintenance regime due to the large of grant funding received.

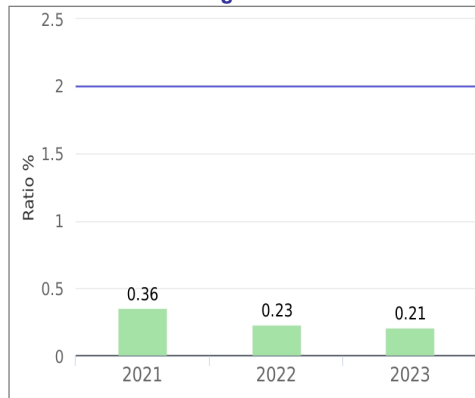
Benchmark: — > 100.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

22/23 ratio 0.21%

Due to a large amount of grant funding Council's has been able to continue to reduce the infrastructure back log.

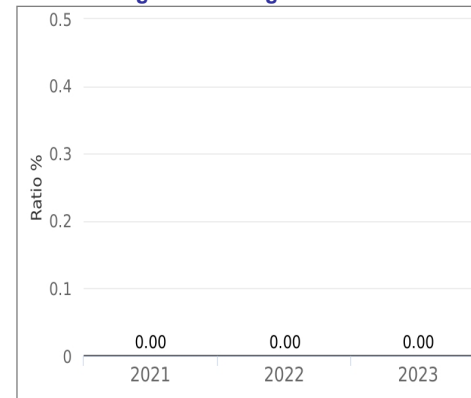
Benchmark: — < 2.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

22/23 ratio 0.00%

Carrathool Shire Council

Report on infrastructure assets as at 30 June 2023

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2023	2022	2023	2022	2023	2022	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	134.41%	30.01%	0.00%	79.59%	0.00%	38.28%	> 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	0.26%	0.28%	0.00%	0.00%	0.00%	0.00%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	113.47%	173.15%	86.90%	93.73%	52.55%	66.67%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.



Welcome to
LACHLAN RIVER
WALKING TRAIL